CONSUMER NOTICE

THIS IS NOT A CONTRACT

In an effort to enable consumers of real estate services to make informed decisions about the business relationships they may have with real estate brokers and salespersons (licensees), the Real Estate Licensing and Registration Act (RELRA) requires that consumers be provided with this Notice at the initial interview.

• Licensees may enter into the following agency relationships with consumers:

Seller Agent

As a seller agent the licensee and the licensee's company works exclusively for the seller/landlord and must act in the seller's/landlord's best interest, including making a continuous and good faith effort to find a buyer/tenant except while the property is subject to an existing agreement. All confidential information relayed by the seller/landlord must be kept confidential except that a licensee must reveal known material defects about the property. A subagent has the same duties and obligations as the seller agent.

Buyer Agent

As a buyer agent, the licensee and the licensee's company work exclusively for the buyer/tenant even if paid by the seller/landlord. The buyer agent must act in the buyer/tenant's best interest, including making a continuous and good faith effort to find a property for the buyer/tenant, except while the buyer is subject to an existing contract, and must keep all confidential information, other than known material defects about the property, confidential.

Dual Agent

As a dual agent, the licensee works for *both* the seller/landlord and the buyer/tenant. A dual agent may not take any action that is adverse or detrimental to either party but must disclose known material defects about the property. A licensee must have the written consent of both parties before acting as a dual agent.

Designated Agent

As a designated agent, the broker of the selected real estate company designates certain licensees within the company to act exclusively as the seller/landlord agent and other licensees within the company to act exclusively as the buyer/tenant agent in the transaction. Because the broker supervises all of the licensees, the broker automatically serves as a dual agent. Each of the designated licensees are required to act in the applicable capacity explained previously. Additionally, the broker has the duty to take reasonable steps to assure that confidential information is not disclosed within the company.

• In addition, a licensee may serve as a Transaction Licensee.

A transaction licensee provides real estate services without having any agency relationship with a consumer. Although a transaction licensee has no duty of loyalty or confidentiality, a transaction licensee is prohibited from disclosing that:

- The seller will accept a price less than the asking/listing price,
- The buyer will pay a price greater than the price submitted in the written offer, and
- The seller or buyer will agree to financing terms other than those offered.

Like licensees in agency relationships, transaction licensees must disclose known material defects about the property.

- Regardless of the business relationship selected, all licensees owe consumers the duty to:
- Exercise reasonable professional skill and care which meets the practice standards required by the RELRA.
- Deal honestly and in good faith.
- Present, as soon as practicable, all written offers, counteroffers, notices and communications to and from the parties. This duty may be waived *by* the seller *where* the seller's property is under contract and the waiver is in writing.

- Comply with the Real Estate Seller Disclosure Law.
- Account for escrow and deposit funds.
- Disclose, as soon as practicable, all conflicts of interest and financial interests.
- Provide assistance with document preparation and advise the consumer regarding compliance with laws pertaining to real estate transactions.
- Advise the consumer to seek expert advice on matters about the transaction that are beyond the licensee's expertise.
- Keep the consumer informed about the transaction and the tasks to be completed.
- Disclose financial interest in a service, such as financial, title transfer and preparation services, insurance, construction, repair or inspection, at the time service is recommended or the first time the licensee learns that the service will be used.

• The following contractual terms are *negotiable* between the licensee and the consumer and must be addressed in an agreement/disclosure statement:
- The duration of the licensee's employment, listing agreement or contract.
- The licensee's fees or commission.
- The scope of the licensee's activities or practices.
- The broker's cooperation with and sharing of fees with other brokers.

• All sales agreements must contain the property's zoning classification except where the property is zoned solely or primarily to permit single family dwellings.

• The Real Estate Recovery Fund exists to reimburse any person who has obtained a final civil judgment against a Pennsylvania real estate licensee owing to fraud, misrepresentation, or deceit in a real estate transaction and who has been unable to collect the judgment after exhausting all legal and equitable remedies. For complete details about the Fund, call (717) 783-3658.

Before you disclose any financial information to a licensee, be advised that unless you select a business relationship by signing a written agreement, the licensee is NOT representing you. A business relationship is NOT presumed.

ACKNOWLEDGMENT

I acknowledge that I have received this disclosure.

Date:____________________ ______________________________
(Consumer's Printed Name) **(Consumer's Signature)**

Date:____________________ ______________________________
(Consumer's Printed Name) **(Consumer's Signature)**

I certify that I have provided this document to the above consumer during the initial interview.

Date:____________________

(Licensee's Printed Name) **(Licensee's Signature)** **(License #)**

Adopted by the State Real Estate Commission at 49 Pa. Code §35.336.

CONSUMER SERVICES FEE ADDENDUM TO BUSINESS RELATIONSHIP/LISTING CONTRACT

CSF

This form recommended and approved for, but not restricted to use by, the members of the Pennsylvania Association of Realtors® (PAR).

BROKER (Company) ______________________________

LICENSEE(S) ______________________________

CONSUMER ______________________________

Broker will order or provide the following services:

☐ Title insurance from a reputable title insurance company
☐ Property/liability insurance
☐ Flood insurance
☐ New Deed
☐ Sewer certification
☐ Water certification
☐ Tax certifications
☐ Use and Occupancy permits
☐ Mortgage payoff
☐ Second mortgage/home equity payoff
☐ Conndominium/Homeowners association documents
☐ Trash certification
☐ Notification of settlement
☐ General/processing services: ______________________________

____

____

☐ Other ______________________________

____

____

Broker's Fee for providing these services is $ ______________.

CONSUMER ______________ **DATE** ______________

CONSUMER ______________ **DATE** ______________

CONSUMER ______________ **DATE** ______________

BROKER (Company Name) ______________________________

ACCEPTED BY ______________ **DATE** ______________

Pennsylvania Association of Realtors®

CONSUMER'S GUIDE TO AGREEMENT OF SALE

Pennsylvania Association of Realtors®

For use with 2022 revisions to PAR Form ASR
A consumer service of the Pennsylvania Association of Realtors®

CONSUMER'S GUIDE TO THE AGREEMENT OF SALE ACKNOWLEDGMENT OF RECEIPT

The Consumer's Guide to the Agreement of Sale has been developed by the Pennsylvania Association of Realtors® to help consumers who may be interested in buying or selling a home better understand the major terms of the PAR Standard Agreement for the Sale of Real Estate. This guide is not a substitute for professional advice and counsel from a real estate broker and/or an attorney representing the consumer.

Signing this acknowledgment does not create any contractual relationship between the listed broker and the signing consumer. Any business relationship between the broker and consumer will be established in a separate written agreement between the broker and consumer.

I acknowledge that I have received the Consumer's Guide to the Agreement of Sale.

PRINT NAME ____________________ **SIGNED** ____________________ **DATE** ____________

PRINT NAME ____________________ **SIGNED** ____________________ **DATE** ____________

PRINT NAME ____________________ **SIGNED** ____________________ **DATE** ____________

BROKER (COMPANY NAME) ____

PROVIDED BY ____ **DATE** ____________

- Consumer Copy -

CONSUMER'S GUIDE TO THE AGREEMENT OF SALE ACKNOWLEDGMENT OF RECEIPT

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PRINT NAME ____________________ **SIGNED** ____________________ **DATE** ____________

PRINT NAME ____________________ **SIGNED** ____________________ **DATE** ____________

BROKER (COMPANY NAME) ____

PROVIDED BY ____ **DATE** ____________

- Broker Copy -

TABLE OF CONTENTS

Welcome to your guide to the Agreement of Sale. It's designed to help you better understand the **Standard Agreement for the Sale of Real Estate**, which is produced, copyrighted and distributed by the Pennsylvania Association of Realtors®.

This form, often just referred to as "the agreement," is used by most Realtors® across the state and by many attorneys as well. Because it is the form that sets out all the terms agreed to by the buyer and seller, it may be the single most important form in your transaction.

It is extremely important to read and understand all the terms and conditions in the agreement. This booklet covers many common questions about the form, but it is not a substitute for the professional help of a Realtor® and an attorney. If you don't understand something, ask your Realtor® and/or attorney for more information before signing the agreement.

Be sure to read the notice paragraphs located throughout the agreement. Some of the notices are required by law or regulation, but all contain information that will help you to better understand the content of the agreement.

As you go through this guide, this icon will alert you to "check out" certain notices that relate to a particular paragraph or clause in the agreement or bring your attention to a certain topic.

As you read the Agreement of Sale, ask your Realtor® if you have any questions.

WHAT'S A REALTOR®?

Many consumers believe that the term Realtor® is used for all real estate practitioners. In fact, only real estate professionals who belong to the National Association of Realtors® (as well as the state and local associations) may use the term Realtor®. As a condition of membership, all Realtors® are bound by a Code of Ethics that goes above and beyond the requirements of state licensing law. Ask your real estate agent if he or she is a Realtor®.

GETTING STARTED

Whether you've done it once, a dozen times or never before, a real estate transaction can be a daunting, stressful and exhilarating experience.

If you're reading this booklet, you've already gotten somewhat involved in the whole process. As a seller, you've made the decision to put your home on the market; as a buyer, you've committed to the homebuying process and may have even seen a few houses.

Now that things are moving along, the next big step for a buyer is to make an offer on a particular property. But when you sit down in front of this 14-page form filled with real estate jargon and legalese, how can you be sure you know what you're doing?

The best advice is to arm yourself with a Realtor® and/or attorney who can guide you through the process, explain your options and answer your questions. Reviewing this booklet **BEFORE** making an offer or considering an offer from a buyer should address many of the questions you're likely to have. Where you still need more information, you'll have plenty of time to ask your Realtor® to clarify things before getting into negotiations.

Making an Offer

Buyers should never make an offer on a property in haste without fully considering all their options. If the offer is accepted, it now turns into a legally binding contract and may not be easy to get out of. But once a buyer has decided to pursue a particular property, it is wise to start the process as soon as possible. It can take as long as two hours to complete the Agreement of Sale and there are many decisions that must be made during that time.

Completing the Agreement of Sale will often take place at the Realtor's® office. With the use of computer-generated forms, however, the agreement can be filled out and even signed from almost anywhere - buyers might not even be in the same room as the Realtor® while they're filling it out. If you have particular needs in this regard (for example, you're buying a home in another area of the state and can't easily travel there for more than a day or two at a time), speak to your Realtor® about the technology available in his or her office.

The Agreement of Sale

The vast majority of residential offers are made by giving the seller a completed Agreement of Sale that lists the terms and conditions requested by the buyer – this is considered the buyer's offer. The buyer and seller negotiate the complete terms of the agreement, and if both sign off on the agreement, the result is a legally binding contract.

Taking a couple of hours to fill out an entire agreement for a property you might not actually end up buying might seem like a lot of effort, and it is. Does it take more time and effort to make an offer with such complete terms? Yes. Experience has shown, however, that the effort helps both the buyer and seller by laying out ALL the terms and conditions desired by both parties so there are fewer surprises during the transaction.

Everything Is Negotiable

So, what are these terms? The terms are the details and specifics of the agreement, which need to be acceptable to both the buyer and seller.

Although the agreement contains a great deal of preprinted text, perhaps the most important phrase for both the buyer and seller to remember is that "everything is negotiable." Some terms to negotiate can include purchase price, deposit amounts, date of settlement, fixtures to be included or excluded, financing arrangements and property inspections, just to name a few. Most of the time frames for performing under the contract are also negotiable, even though certain time frames are often preprinted in the text for convenience. To protect yourself legally, you may want to have your attorney review the agreement before you sign it.

What the Buyer Should Bring

Buyers will need to have certain items and information readily available when filling out the Agreement of Sale. Some of these items include:

- If you are providing a deposit on the property, bring your checkbook.
- Information about your finances is also necessary. The seller will almost always want to verify a buyer's financial ability to buy or obtain a mortgage before deciding to accept the agreement. Depending on the practice in your market, a mortgage preapproval may be sufficient. In other markets, sellers might ask buyers to fill out a separate financial information form.
- Have information regarding available funds handy. You will want to make sure you have enough money for your deposit and for settlement.
- All buyers must be present! If you and other people (for example, your spouse or business partner) are buying a property together, you will need to complete and sign the agreement together.
- If you have any questions about what to bring with you when filling out the agreement, ask your Realtor®.

THE PARTIES

That's you! The buyer and the seller of the property are referred to as "the parties," and the first block on the first page of the agreement is where the legal names of **all** of the buyers and **all** of the sellers should be listed.

On the seller's side, listing all sellers helps to make sure that all owners of record actually sign the agreement. If the property is owned by several individuals and one fails to sign the agreement, the agreement (and possibly the transaction) may not be valid. On the buyer's side, attorneys and title companies will often use the listed buyers' names to prepare the new deed. If a buyer is forgotten, it may hold up the transaction or could require making this legal change after the fact at additional expense.

THE PROPERTY

The next part of the agreement is a description of the property to be purchased. In most cases, the property will be identified both by the street address (including the municipality, ZIP code, county and school district), as well as by a more thorough legal description of the property. If there is any doubt or confusion about the actual location of the property or the property boundaries, talk to your Realtor® about obtaining a survey. Many buyers are interested in living in a particular ZIP code or sending their children to school in a specific school district, so you are encouraged to double-check this information for accuracy.

WHO ARE THE BROKERS?

The boxes at the bottom of the front page of the agreement contain information that identifies the broker or brokers who are providing real estate services in the transaction and their relationship(s) with you. It is very important that you understand the relationship you have with each broker and the legal duties that each broker owes you or doesn't owe you.

There are two pieces to identifying who represents you: the brokerage, which is the company you are working with, and the licensee, which is the individual salesperson you are working with. In Pennsylvania, all real estate activity is licensed by the State Real Estate Commission. Licenses are issued to companies to operate as brokerages and to individuals as either brokers or salespersons. A broker can negotiate the sale of real estate, but is also the individual responsible for overseeing the activities of the salespersons working in his or her office (also called a "brokerage").

Remember, unless you have entered into a written agency contract creating a legal relationship between you and the brokerage, the brokerage may NOT be representing your interests and may be representing the other party. If you have a question about how these relationships work, review the Consumer Notice (the first form the Realtor® gave you) and ask the Realtor® to clarify his or her role in the transaction.

Pennsylvania allows agents to work as dual agents, which means that they can represent both the buyer and the seller in the same transaction. A dual agent is put in the tricky position of representing you, while at the same time not taking any action that would negatively impact the other party. For example, a dual agent could list your house for sale and later take on a client looking to purchase a house just like yours. While the dual agent would represent both the seller (to sell the house) and the buyer (to buy the house), the dual agent cannot do anything that would harm the seller's or buyer's position in the transaction. If you are concerned about how much help you may or may not get with the transaction, talk to your Realtor® about whether you could have a designated agent. A designated agent is an agent who would represent only you, even though the other party's agent would work for the same brokerage.

THIS AGREEMENT

The first paragraph of the agreement states the date the contract was first presented as an offer. The date in this paragraph is generally NOT the same as the acceptance date, or execution date, which is the date a valid contract is formed. This date is simply used as a convenience to identify when the buyer's offer was first presented and will be particularly helpful if more than one agreement is submitted by the same buyer at different times.

PURCHASE PRICE AND DEPOSITS

The purchase price is the first of several terms stated in the agreement. While many buyers and sellers assume that this is the most important part of the agreement, there are other negotiable terms that can be just as important as the purchase price. To make your offer as attractive as possible to the seller, be sure to pay attention to all the terms in the agreement - don't focus only on the purchase price.

How much should a buyer offer to pay for the property? Which offer should the sellers accept? These are decisions that vary from transaction to transaction. You will need to consider things such as whether there are other offers, the recent sale prices of similar homes, how long the property has been on the market and your own personal motivations. Your Realtor® can help you review the issues to consider, but the Realtor® can't make the final decision for you.

Making a Deposit

Buyers are almost always expected to make a "good faith" deposit (sometimes called "hand money," "earnest money" or "down money") on the property but there is no legal requirement to do so. Deposits can be given in one large deposit or in two (or more) steps.

When a buyer makes an offer, an initial deposit is usually given to the seller along with the agreement, or shortly thereafter, depending on how the agreement is delivered to the seller. In some markets, if the seller accepts the offer, a second deposit is due within a short time after acceptance. In other markets, it is not uncommon for there to be a third deposit at some point later in the transaction. The amount and timing of deposits is often determined by local custom. Ask your Realtor® about what is customary in your area, keeping in mind that these are always negotiable issues. However they are paid, the deposits will be credited toward the total purchase price and/or closing costs at the time of settlement.

NOTE: Depending on the circumstances, if a buyer backs out of an accepted agreement, the buyer may lose their deposits. Offering a higher deposit could make the buyer's offer look more serious to the seller, but it also means more risk to the buyer.

The agreement allows the buyer to pay by cashier's check, wired funds or personal check, but only if the deposit is being paid 30 or more days from the settlement date. If a deposit is being made within 30 days of the settlement date, the buyer must pay by cashier's check or wired funds, not by personal check. These specifications can be modified if the parties agree on a change.

A NOTE ABOUT EMAIL FRAUD: Scammers are increasingly targeting real estate professionals, seeking to comprise their email in order to monitor email correspondences with clients and identify upcoming real estate transactions. During the closing process, scammers send spoofed emails to homebuyers – posing as the real estate agent, settlement agent, legal representative or another trusted individuals – with false instructions for wiring closing funds.

Learn how to avoid these scams: PARealtors.org/email-fraud/

Escrow Accounts

While the purchase is pending, the buyer's deposits will be held in an escrow account. Typically, the money is held by the Realtor® representing the seller, although it may be traditional in some markets for the Realtor® representing the buyer to hold it. When completing the agreement, the parties will determine who will be holding the deposit. Whichever Realtor® holds the deposits, they will be held in a special bank account called an "escrow account." An escrow account is an account that is held separate from the broker's other funds.

There are laws and regulations governing how brokers must handle money deposited in their escrow accounts, including when money must be deposited and when it may be released. For deposits made with the offer, Pennsylvania law – and the standard agreement – permits the broker to wait until the buyer's offer is accepted before depositing the down payment into an escrow account.

While it may be customary for one of the real estate brokers to hold the deposit, it is not legally required. A third party, such as an attorney or the title company, can also hold the deposit. You should know that if the transaction falls apart and there is a disagreement over which party is entitled to the deposit money, there are restrictions on how and when a real estate broker can release the deposit. This will be further explained in the paragraph on Default, Termination and Return of Deposits.

SELLER ASSIST

A seller assist is an amount of money a seller is willing to pay toward the buyers' loan or settlement costs. If the buyer is getting a mortgage, it is important to know whether the lender has a limit on how much the seller assist can be. This limit can vary between lenders or even between loan products from the same lender.

SETTLEMENT AND POSSESSION

Settlement Date

The settlement date is the day that you would like to officially transfer ownership of the property, so you should choose this date very carefully! Among other factors, the settlement date will depend upon the time it will take to complete any desired property inspections and to obtain a mortgage loan, if one is necessary.

As simple as it seems, it is a good idea to have a calendar handy when dealing with the Agreement of Sale. When picking a settlement date, it is best to avoid weekends and holidays, as well as dates with other conflicts such as vacations or work deadlines. Settlements can often take several hours to a half day, so don't pick a day thinking that you can just squeeze it in at lunch.

Taxes

In Pennsylvania, a real estate transfer tax is charged when a property is purchased. The state collects a tax on all transactions and there may be a local transfer tax on the transaction as well. Transfer taxes may range from a minimum of 1% to 4% or more of the purchase price. In most areas, the practice is to divide payment of the transfer taxes equally between the buyer and the seller, but this is negotiable.

If the agreement is being assigned to another buyer, meaning the transaction starts with one buyer but then concludes with a different buyer, the assignment may affect the transfer tax on the property. Talk to an attorney if you are planning on assigning your interest in the agreement.

Real estate property taxes and other obligations, such as condominium or homeowner association fees, and interest on mortgage loan assumptions are prorated at settlement. This means that the seller is responsible only for the portion of the taxes and other assessments up to and including the day of settlement, and the buyer is responsible for paying the taxes and fees after the settlement date. If the seller has already paid these bills, an adjustment can be made that will reimburse the seller for the buyer's portion.

Review all tax bills carefully to be sure you understand what taxing periods are covered by each. For example, all municipal governments base their bills on a tax year that runs from Jan. 1 to Dec. 31; most school districts have a tax year of July 1 to June 30.

How Are Taxes Calculated?

By law, transfer taxes are a fixed percentage of the purchase price of the property. Check with your Realtor® to find out what the transfer tax is in the community where the property is located.

Local property taxes are set by the municipality and school district and are based on a percentage of the assessed value of the property. Property taxes may change each year based on the rate set by the municipality (called the "millage") and the assessed value of your property. The assessed value is not the same as the purchase price (or what may be considered market value). An assessed value is reached by a local government assessor who considers a number of factors to arrive at the value that will be taxed. Factors such as whether the property is income-generating, the assessment of similar properties and the value of recent improvements are all considered in arriving at the assessed value. While these same factors are relevant to the market value, a property's market value is much more susceptible to outside factors such as local property inventory and interest rates.

Appraisal	Assessment
Determines market value	Determines taxable value
Performed by appraiser, usually at request of lender	Performed by a municipality tax assessor
Can fluctuate depending on many factors	Not as vulnerable to market fluctuation
Typically performed with each property sale	Typically performed every few years, as determined by local ordinance

Possession

Unless otherwise agreed to, the buyer can expect to receive a copy of the deed (the original will be filed with the Recorder of Deeds office in the county where the property is located) and the keys to a reasonably clean and vacant property at settlement. Of course, "vacant" doesn't necessarily mean that there will be nothing left in the property. If the parties have agreed that the seller will leave certain items (appliances or furniture, for example), buyers should check for these items during a pre-settlement walk-through inspection. At the same time, it is understood that the seller is responsible for removing all personal items that aren't included in the sale; the seller is not permitted to just leave behind trash or any other items that they don't want in their new home.

Sometimes the parties will agree to let the buyer move in before settlement or to let the seller stay after settlement. Make sure this is **IN WRITING**, just like the rest of the agreement. Issues like fees for this extra time of possession and who is responsible for any damages are best dealt with well before settlement. PAR publishes forms covering many of the issues involved in both seller and buyer occupancy.

If the property is tenant-occupied, make sure that leases and security deposits are properly transferred from the seller to the buyer and that the seller has taken care of any remaining obligations to tenants. There is a PAR form for this purpose as well.

DATES/TIME IS OF THE ESSENCE

Acceptance Deadline

The buyer will usually want to insert some sort of a deadline for the seller to agree to the terms of the agreement. If the agreement is not accepted by the deadline and the deadline is not extended, the offer will expire. When you set this deadline, consider factors such as local custom, the buyer's or seller's sense of urgency regarding the transaction and the schedules of the parties and brokers.

Dates and Times

The Agreement of Sale states that "time is of the essence." This is a technical phrase meaning that if you don't do something by an agreed-upon date, you can lose certain rights or be in default of the agreement. For this reason, it is critical that the dates in the agreement be strictly followed, including the time for settlement.

The time for performing under the agreement doesn't start until the parties have reached a final understanding on all terms and have signed the contract to prove their consent. This is known as the "execution date." It is important that every change to the agreement be initialed and dated by both parties as pre-execution negotiations take place so that everyone can keep track of the execution date. Most of the time periods in the agreement are based on that date, so it's essential to know which date starts the clock.

All the deadlines in the agreement are based on calendar days because that is the easiest to count and it is not subject to interpretation. The agreement does not use business days or exclude holidays and weekends, which is why sitting down with a calendar and mapping out each of the deadlines is so important when considering an offer. Considering what needs to be accomplished and selecting realistic time frames for each task is **CRUCIAL**.

Although some of these times are preprinted in the agreement, they are by no means set in stone. If you want to negotiate a different amount of time to complete a certain task, there is room for you to cross out the preprinted numbers and put in a different number. Your Realtor® probably has a good idea about how long it usually takes to do these things in your market area.

ZONING

Most local governments have a written plan that controls where certain types of buildings can be put, depending on the building's intended use. This is called zoning. The municipality may have divided up the land area to allow sections for families to live, businesses to operate or farming to take place, and many times the uses are intended to be separate. The zoning classification of the property is required in an Agreement of Sale unless the property is in an area primarily zoned to permit single-family dwellings.

NOTE: If the buyer plans to change the *future* use of the property, it may be wise to make the purchase contingent on getting permission from the municipality to do so. The PAR Zoning Approval Contingency (PAR Form ZA) gives buyers the right to back out of the transaction without penalty if the buyer's intended use is not permitted or a change of zoning is not approved.

Later, in the inspections paragraph of the agreement, the buyers will be asked to decide whether they want to check the *current* zoning restrictions of the property. If the buyer has certain zoning needs, the buyer should investigate the zoning issues that relate to those needs. Sellers and agents should not guess at what uses would be allowed.

FIXTURES AND PERSONAL PROPERTY

In most residential transactions, some items of personal property (appliances or lighting fixtures, for example) will be included with the property as part of the sale. These items are sometimes referred to as "fixtures" if they have been attached to or made part of the property in such a way that it would seem the item was intended to stay. **If specific items are to be included or excluded, they must be clearly listed in the agreement.** Any information provided through the multiple listing service (MLS) or any items identified in the Seller's Property Disclosure Statement should not be relied on; items of personal property aren't included in the sale if they are not also listed in the agreement.

The agreement contains a list of personal property items that are commonly included in residential sales. It is **EXTREMELY** important for you to carefully review this list to make sure that everything that should stay with the property is included and everything that should go with the seller is excluded. Even though this is a preprinted list, all of the items listed are open to negotiation and can be crossed out. Any item of personal property that isn't included in the agreement in writing is NOT part of the transaction and does not stay with the property. If there is any confusion about the transaction, the written terms of the agreement will decide what stays and what goes.

FINANCING AND THE MORTGAGE CONTINGENCY

How much it costs to buy or sell a home is a complicated question! There are many financial aspects to a real estate purchase. These include deposits, taxes, up-front costs such as inspections and permits, settlement costs, the purchase price of the home itself and financial reserves for repairs and other expenses after moving in. Buyers should be sure they fully understand how each element factors into their financial status and how they will find the money to cover each cost. Before signing an Agreement of Sale, both buyers and sellers must receive a copy of the estimated closing costs. Buyers should double-check the estimated cost sheet before making the offer to be sure they are able to afford the listed costs. Sellers should review the cost sheet to be sure that all of the liens will be covered based on the offered purchase price.

WHAT'S A LIEN?

A lien is a legal interest that a creditor has in someone else's property. A lien usually lasts until the debt is paid off.

Before even beginning to search for a home, a buyer will probably first review their financial situation with a lender. This will help the buyer understand the different costs associated with a real estate purchase and how they will find money to pay for them. A lender may provide a buyer with a "pre-qualification" or "preapproval" letter indicating how much the buyer can afford to pay for a house. Although this is no guarantee that the buyer will be approved for financing, it is helpful in establishing a price range they should be focusing on and can let the seller have an idea of the buyer's financial ability.

What Do "Pre-Qualified" and "Preapproved" Mean?

PRE-QUALIFICATION is when the lender takes a look at some documentation to provide a quick assessment of the buyers' financial status and estimates the mortgage loan amount for which they might qualify. Pre-qualification may help buyers determine the price range they can afford and can be helpful at the beginning of a search.

PREAPPROVAL is more detailed and takes place when the buyers are closer to making an offer on a house. For a preapproval, the lender will verify the buyers' earnings and financial situation—often by obtaining a credit report—to determine whether to lend money. Once the buyers are preapproved, the lender will provide a letter stating the maximum amount the buyer would likely be approved to borrow. A seller may think that a buyer with a preapproval is a "stronger" candidate than one with a pre-qualification and improve the buyer's chances of coming to an agreement on the purchase price.

Mortgage Application Checklist for Buyers

Here is a sample checklist of some of the things the buyer may need to provide to the lender when applying for a mortgage loan.

Income information, including:

- Employers' name, address and phone number for the last two years.
- W-2 statements for the last two years.
- Recent pay stubs (approximately one month's worth).
- Green card for resident alien.
- If self-employed, the last two years' tax returns with all schedules and year-to-date profit and loss statements.
- Other income from Social Security, Veterans Affairs and retirement benefits, alimony and child support.

Financial information, including:

- Bank names, account numbers and balances.
- Bank statements for the last three months on all accounts.
- Proof of rent or mortgage payments for the last 12 months.
- Liabilities, including debts, loans and credit card balances.
- Current financial statements listing assets and investments.
- Check to pay for appraisal, credit report and mortgage rate lock.

Other items and information, including:

- Social Security number.
- Landlords' name and address for the last two years.
- Certificate of Eligibility and/or DD214 for VA loans.
- Leases for rental properties.
- Separation agreement, divorce decree and/or property settlement.
- Agreement of Sale.
- Legal description of the property.

If the Buyer Needs a Loan

Many buyers will simply not have the funds to buy a home with cash and it is customary to need a loan from a bank. The homebuying process involves many parties outside of this contract between the buyer and the seller, and this is just one example. As a practical matter, the buyer and seller have very little control over these third parties, their requirements and their timelines. In this instance, if the buyer is going to be getting a mortgage, then there are certain principles that will apply to the transaction regardless of whether the mortgage contingency (see below) is elected.

The main principle is that the buyer must submit a timely mortgage application and then cooperate with the lender in good faith. If the buyer is trying to secure a mortgage to help pay for the property, then they need to be honest in their attempt. Providing false information, hiding relevant information from the lender, or delaying the process are things that could cause a lender to deny the application altogether. Also, there is much work to be done by the lender so the sooner the process is started, the more likely it is that the targeted settlement date will be reached without a problem. Meanwhile, the seller has likely taken their property off the market or potentially declined other reasonable offers to pursue this particular contract. It is not fair to the seller to be strung along by a dishonest buyer, which is why any act of self-sabotage by the buyer could lead to a finding of default.

The seller must also cooperate with the mortgage approval process. The lender chosen by the buyer may have certain requirements for issuing a loan. They may want an appraisal or an inspection of the property to ensure that their investment will be sound. For these inspections to be carried out, the seller will have to grant reasonable access to certain individuals so that the buyer's mortgage application can be fully processed. You as the seller may be asked to provide access to a closed-off crawl space, locate an on-lot septic system or allow someone to test the water in your well. Make sure that you discuss these issues with your Realtor® if you have concerns about what will be expected of you.

FHA and VA Loans

An FHA mortgage is a loan that is insured by the Federal Housing Administration. These loans are issued by traditional lenders, but are secured by the federal government. VA loans are similar in that they may be backed by the Veteran's Administration for eligible borrowers. Because the lender's risk of loss is minimized by the insurance from the FHA or VA, lenders are willing to provide mortgages for buyers who may not qualify under conventional programs. Each program offers different loan types so talk to your Realtor® and loan officer about whether an FHA or VA loan is appropriate for you.

The Mortgage Contingency

Because most buyers will need a loan from a bank to purchase a home, it is quite common for buyers to elect to include the mortgage contingency as a term of the agreement. If elected, the contingency states that the buyer won't be in breach of the agreement if they are unable to purchase the property because their application for mortgage financing (made in good faith, of course) is denied. However, a buyer may also decide to waive this contingency. If it is waived and the buyer's loan application is denied, then they may be in default of the agreement if they cannot purchase the property. Buyers with a strong financial position or buyers paying cash may choose to waive this contingency. It is important to remember that waiving the contingency is not a waiver of the buyer's right to apply for a mortgage, it merely closes a door for the buyer.

Two Important Deadlines

The mortgage contingency paragraph of the agreement has two big deadlines for the buyer, one is the time in which the buyer must submit a mortgage application and the second is the date by which the buyer must have an answer from the mortgage lender to give to the seller (referred to as the commitment date). If the buyer doesn't meet these deadlines, the buyer may be in default and the seller may have the option to cancel the agreement.

Buyer's Mortgage Requirements

To help the seller judge whether a particular buyer is likely to be able to afford the property, the agreement asks buyers to be fairly specific in stating what their mortgage requirements will be, especially if the mortgage contingency is elected. Aside from asking the buyer to identify if multiple loans will be involved, the agreement also asks for information regarding the mortgage amount, the term of the loan(s), the type of loan(s), the name of the lender(s), loan-to-value ratio, interest rate(s) and "points." Sellers may also ask for certain proof that the buyers have, or can get, the necessary resources to purchase their home. Let's take a closer look at what each of these terms are and what they mean.

Mortgage Amount

In most transactions, the mortgage amount is calculated by taking the full purchase price of the property and subtracting any deposits already paid by the buyer along with any other cash the buyer will pay out of pocket. In some cases, the buyer may want to borrow more than the full purchase price, for example, where the buyer wants to borrow additional money to cover closing costs or to pay for repairs or renovations. These types of loans are also only available through a limited number of loan programs, so sellers should consider whether a buyer is likely to qualify for those programs.

Mortgage Term

The "term" of the mortgage is the length of time it will take to repay the loan in full. Although the "traditional" loan is 30 years, other loans are available for 15 years, 20 years or even 40 years. Keep in mind that a monthly payment can vary greatly depending on the term of the loan—the longer the term, the lower the payment. The term of the loan can also affect the interest rate and the buyer's ability to qualify for the loan.

Many pre-qualification or preapproval letters are based on the assumption that a buyer will be applying for a 30-year loan. If the loan term is different, the purchase price that a buyer can afford may change. Be sure to calculate your payments based on the correct information before making an offer.

Types of Mortgages

Mortgages come in many varieties. Many loans are variations on the traditional "conventional" mortgage loans, but each lender has its own requirements and there are a number of loans and loan guarantee programs available through the federal, state and local governments. Most loans will require a down payment of some sort (often between 5% and 20% of the purchase price), although the amount may differ depending on the lender and the programs for which a buyer qualifies. Some loan products may permit down payments as low as 1% to 3%, and there are even others that will finance 100% or more of the purchase price. Keep in mind that buyers who have down payments of less than 20% may be required to purchase private mortgage insurance (PMI), which is available for an additional fee.

The Loan-to-Value Ratio

The agreement allows the buyer to set an upper limit on something called a loan-to-value ratio, or "LTV." The LTV may be used by lenders to help assess the potential risk of a mortgage loan. LTV is determined by dividing the requested loan amount by either the purchase price or the appraised value of the property, whichever is lower. A particular LTV may be necessary to qualify for certain loans, or buyers might be required to pay additional fees if the LTV exceeds a specific level. For example, if the buyer is planning to borrow $80,000 for a property that appraises at $100,000, their LTV is 80% ($80,000/$100,000). Stated another way, the loan ($80,000) should not be more than 80% of the value of the home ($100,000). Buyers should talk to their Realtor® about whether this term should be included and, if so, what the maximum LTV should be.

Mortgage Lenders

While most lenders are very reliable and reputable, some lenders in your market area may be more reliable than others. Including the name of a mortgage lender or lenders in the agreement is not mandatory. Buyers should consult with their Realtor® to determine whether naming the lender would be beneficial. Where an offer is received without a named lender, sellers should discuss with their Realtor® whether to request that the buyer identify one.

Asking buyers to identify the lender they intend to use has two benefits. First, it encourages buyers to research lenders prior to submitting an offer. Since the mortgage contingency paragraph of the agreement gives buyers a limited period of time to submit their actual application (which can't be done until their offer has been accepted), buyers who have identified lenders ahead of time should have an easier time meeting this deadline. Second, having a lender identified in the offer may also help sellers determine the likelihood that a transaction will make it through closing with no delays. If a seller is aware that a particular lender tends to have problems with postponing, or even canceling, planned closings, the seller may be less likely to want to accept that offer.

Mortgage Rates

There are two interest rates stated in the agreement; the first is the rate that the buyer is hoping to get and the second is the highest rate the buyer is willing to accept. As with other elements of this contingency, buyers should be realistic. If a mortgage is approved with the terms stated in the agreement but the buyer fails to accept or "lock in" the loan with an acceptable interest rate, the buyer may be in default if the rates later rise above the stated interest rate cap and the buyer refuses to accept the loan at that time.

Fixed Rate vs. Adjustable/Variable Rate Loans

Interest on mortgage loans can be at a fixed rate, which means the monthly payment never changes except for possible increases in taxes and insurance, or a loan may be an adjustable-rate mortgage (ARM) or variable-rate mortgage (VRM), which means the monthly payment on the mortgage loan may change. The calculation of these changes is complicated and should be clearly understood before choosing this type of loan.

What Are Points?

Points are the fees that the mortgage lender charges buyers for providing certain services. Buyers pay points up front in cash as part of closing costs; the money is not financed as part of the mortgage loan. One "point" is equal to 1% of the mortgage amount. The agreement asks buyers to put in a maximum number of points they are willing to pay—often called a "cap." For example, if points are capped at three for a $100,000 loan, the buyer will not be required to buy the property if a lender offers a mortgage commitment requiring the payment of more than three points or $3,000.

Conditional Approvals

If the lender has requirements or conditions that are not part of the agreement, then the seller may have the right to terminate the agreement. For any unusual condition on the approval (such as verifying income or selling another property), the buyers have time to satisfy these conditions. Certain types of routine conditions that can only be met at or near settlement don't give sellers the right to terminate, however. Such routine conditions might include a final verification of employment or providing proof of property insurance.

Lender Requirements

Every lender has their own requirements for approving a loan. These requirements will vary depending on the type of loan being offered and are often based on the buyer's current financial status and financial history.

The value of the property is a major element that weighs into the lender's decision. In the unlikely event that a buyer stops making payments and the lender chooses to foreclose on the property, the lender wants to be sure that the value of the property is high enough that the lender could sell the property and get its money back. Before loaning a buyer the money to purchase the property, the mortgage lender will almost certainly do an appraisal to make sure the house meets the lender's standards for the loan. After appraising the property, the lender will decide the maximum amount of money that may be borrowed.

Keep in mind that the appraised value of the property may be different from the agreed-upon purchase price. Sometimes the appraised value will be too low for the lender to approve the entire amount of the mortgage that has been requested. If the buyer still wants to purchase the property, it will be necessary to find additional money to make up the difference.

What if the Loan Is Not Approved?

If a mortgage is approved within the terms specified in the agreement, the buyer must proceed with the transaction. If the buyer meets all the obligations spelled out in this contingency and is still turned down for a mortgage, the contract states that the buyer will not have to finalize the purchase and the seller may terminate the agreement.

Remember that this is only true where the buyer has, in fact, done everything required by the terms of the agreement. This means the buyer must have completed the application and locked in the interest rate within the time given, the application had the same terms as were listed in the agreement, the buyer was honest with the seller and mortgage lender regarding buyer's finances and the buyer has fully cooperated with the lender during the processing of the application. If the buyer has failed to meet the obligations agreed to in the agreement, he would likely be in default if the loan is not approved.

CHANGE IN BUYER'S FINANCIAL STATUS

The successful completion of the transaction depends in large part upon the financial status of the buyer. In the time it takes to complete the sale of a property, unexpected changes in the buyer's finances could take place. If any of those changes affect the buyer's ability to purchase the property, then he is obligated to inform the seller, and any lenders who received mortgage applications, in writing. Buyers should be aware that applying for or incurring additional financial obligations during this time can affect their eligibility for financing along the terms specified in the agreement. It is best to hold off on major purchases, like major appliances or flooring, until after the transaction has closed.

SELLER REPRESENTATIONS

Because of the way contracts are made in Pennsylvania, the buyer agent often fills in most of the agreement with information gathered from other sources, such as the seller's property disclosure or the MLS. When reviewing an offer, the seller should always double-check the items in this paragraph because once a seller accepts the agreement, the seller is responsible for the truth of these statements. This paragraph explains what the seller knows about the major systems serving the property, whether there are historic preservation or land use restrictions on the property and whether the seller has received any notices about the property from any government or public authority. Remember that if the buyer has special needs or questions on these issues, the buyer should still do inspections and contact a tax professional or attorney, if needed.

The Seller Disclosure Law

Pennsylvania law requires that before an agreement is signed, the seller in most residential real estate transfers must make certain disclosures regarding the property. A residential real estate transfer is defined as a sale, exchange, installment sales contract, lease with an option to buy, grant or other transfer of an interest in real property of between one and four dwelling units. Disclosures of material defects must be made to all potential buyers in a form defined by the law. A material defect is a problem with a residential real property or any portion of it that would have a significant adverse impact on the value of the property or that involves an unreasonable risk to people on the property.

There are several exceptions where the disclosures do not have to be made:

1. Transfers that are the result of a court order.
2. Transfers to a mortgage lender that result from a buyer's default and subsequent foreclosure sales that result from default.
3. Transfers from a co-owner to one or more other co-owners.
4. Transfers made to a spouse or a direct descendant.
5. Transfers between spouses that result from divorce, legal separation or property settlement.
6. Transfers by a corporation, partnership or other association to its shareholders, partners or other equity owners as part of a plan of liquidation.
7. Transfer of a property to be demolished or converted to non-residential use.
8. Transfer of unimproved real property.
9. Transfers by a fiduciary during the administration of a decedent estate, guardianship, conservatorship or trust.
10. Transfers of new construction that has never been occupied when: 1) the buyer has received a one-year warranty covering the construction, 2) the building has been inspected for compliance with the applicable building code or, if none, a nationally recognized model building code and 3) a certificate of occupancy or a certificate of code compliance has been issued for the dwelling.

NOTE: It is a common belief that sellers who never lived at the property do not have to complete a property disclosure statement. This is not true. The only exceptions to the requirements are those listed above. While a seller who has not personally resided at the property may not have as much knowledge as one who did occupy the property, they are still required to complete a disclosure statement with the information they have.

In addition to these exceptions, disclosures for condominiums and cooperatives are limited to the seller's particular unit(s). Disclosures regarding common areas or facilities are not required, as those elements are already addressed in the laws that govern the resale of condominium and cooperative interests.

The Pennsylvania Seller Disclosure Law does not require the seller to do any investigation; the only obligation is for the seller to disclose what they know. If the buyer has any questions about the soundness or function of the property or any part of it, they should consider a home inspection.

Public and/or Private Notices and Assessments

The term "assessment" is used in the Agreement of Sale and in this booklet to refer to some fee or cost paid by a homeowner for an improvement related to the property. For example, a local government might impose an assessment on residents to pay for new sidewalks or sewer pipes, while a condominium or homeowner association might levy an assessment on property owners to pay for the cost of maintaining the public areas overseen by the association.

The term "assessment" is not meant to include property tax assessments or relate to property values. The buyer should research local assessments and tax rates during the process of searching for a suitable home, before submitting an offer.

The seller is required to pay for any assessments made prior to the acceptance of the agreement, and is also responsible to correct violations of zoning, building or safety ordinances when notices of violation have been provided to the seller before the agreement is signed. Even if the assessment or violation hasn't yet been received, if the seller knows that something will be coming it must be disclosed to the buyer in advance.

WAIVER OF CONTINGENCIES

Many contingencies in the Agreement of Sale specify time periods within which the parties must act. The waiver of contingencies paragraph reminds both the buyer and seller that failure to meet a deadline will result in the waiver of rights under that contingency. For example, if the buyer misses a deadline to request repairs after an inspection, the buyer will be deemed to have accepted the property with no repairs done by the seller. If there is any reason why the preprinted contingency time periods might be problematic be sure to let your Realtor® know so those times can be adjusted.

DUE DILIGENCE/INSPECTIONS

In most residential transactions, sellers are required to provide buyers with a Seller's Property Disclosure Statement listing known problems with the property. Exceptions to this general rule are listed above and on the PAR Seller's Property Disclosure Statement (Form SPD).

Although this form covers many important aspects of the property, buyers should not rely exclusively on this form in determining the condition of the property. For one thing, the form only asks sellers to disclose conditions they are aware of. There might be many things that would concern a buyer (and the seller, for that matter), but are unknown by the seller. For example, sellers might not know of a weak spot in the roof if it hasn't started leaking; similarly, they might not know that a septic system is getting close to needing a repair if it hasn't started causing problems.

Buyers should strongly consider hiring professional inspectors to review the major elements and systems of the home. This might take the form of obtaining a full "home inspection" of the property, hiring a series of specialists to inspect individual systems (for example, a roofer for the roof, a plumber for the plumbing, etc.) or some combination of the two. Keep in mind that the agreement requires that inspections be done by "licensed or otherwise qualified inspectors," so buyers should always be sure to check out the qualifications of inspectors before hiring them.

In the "inspections" paragraph, the seller agrees to allow access to the property for all inspections agreed upon in the agreement, including any that are required by a lender or property insurer. It also states that the utilities will be on for the inspections and reserves the buyers' right to a pre-settlement inspection of the property.

Although buyers do have the right to attend inspections, buyers are there just as observers. This isn't the time to bring along family members for a tour of the home or to ask a decorator to measure for new curtains. Similarly, the right to a pre-settlement inspection is generally meant to provide an opportunity to look through the property just before settlement to make sure that everything is in the condition agreed to in the agreement. If the buyers have any other need to enter the property before settlement, they should work out the arrangements ahead of time with the seller.

Are Inspections Required?

When making an offer, it is better to err on the side of caution. As a buyer, if you are unsure of whether you will need any inspections, elect to have them done. Reserving the option to have inspections lets buyers decide later whether they want them. However, if the buyers waive the right to inspections in the agreement, they can't come back later to have them done.

Remember that requesting and allowing inspections are negotiable terms. If sellers have a choice between two similar offers, they may opt for the offer that is contingent upon fewer inspections. At the same time, however, when a buyer waives the right to an inspection, it means that the property will be accepted in its present condition, regardless of what that condition is. This could be very expensive for the buyer if certain conditions need to be fixed after moving into the property. In many ways, deciding on what inspections to have may be one of the most important elements of the agreement.

Sometimes a potential buyer may want to conduct certain types of "inspections" before even making an offer. For example, it is often a good idea to drive around a neighborhood and even talk to a few neighbors before making an offer. This can help identify issues such as ease of access to the neighborhood, noise from nearby roads or factories and many other concerns that might affect the decision. Some buyers might even want to formally inspect the property before making an offer. Talk to your Realtor® to determine whether this is right for you. Doing these sorts of inspections before making an offer can save buyers and sellers a lot of time if it turns out that there is something a buyer doesn't like.

How Long Will the Inspections Take?

Buyers should ask their Realtor® for an idea of how long it will take to get the inspections done. All the inspections are subject to a "contingency period" of a certain number of days. The contingency period will be the same for all inspections. Remember to leave a buffer so there is enough time to complete everything within the time given. See the appropriate notices in the agreement for helpful information on property conditions and some information on certain inspections.

Home/Property and Environmental Hazards Inspection

The agreement's home/property and environmental hazards inspection provides for inspections of pretty much anything and everything related to the property not covered by later inspections. Some of the common inspections, performed as a single system inspection or as part of a full home inspection, are listed below.

- Electrical system
- Environmental issues
- General appliance condition
- Heat/air conditioning (HVAC)
- Mechanical systems
- Plumbing
- Roof
- Mold and indoor air quality
- Property boundaries
- Building codes compliance
- Site features (condition of driveway, sidewalks, etc.)
- Structural condition
- Water penetration

The Pennsylvania Home Inspection Law applies to "residential real estate transfers," which is a transfer of between one and four dwelling units. The law also sets certain criteria for home inspectors. Below are definitions of some of the common terms used in a home inspection.

HOME INSPECTION: A non-invasive, visual examination of some combination of the mechanical, electrical or plumbing systems or the structural and essential components of a residential dwelling designed to identify material defects in those systems and components. The term does not include an examination that is limited to inspection for, or of, one or more of the following: wood-destroying insects, underground tanks and wells, septic systems, swimming pools and spas, alarm systems, air and water quality, tennis courts and playground equipment, pollutants, toxic chemicals and environmental hazards.

Simply put, a "home inspection" is an inspection that covers multiple systems of the property in a single inspection. For example, if one inspector looks at the roof, plumbing and heating systems during a single inspection, it is a "home inspection," according to the law. If three different inspectors look at each item separately, those single-system inspections are not "home inspections," as defined by the law.

HOME INSPECTION REPORT: A written report on the results of a home inspection. The report must include a description of the scope of the inspection and a description of any material defects noted during the inspection, along with any recommendation that certain experts be retained to determine the extent of the defects and any corrective action that should be taken.

HOME INSPECTOR: An individual who performs a home inspection.

NATIONAL HOME INSPECTORS ASSOCIATION: Any national association of home inspectors that: 1) is operated on a not-for-profit basis and is not operated as a franchise, 2) has members in more than 10 states, 3) requires that a person may not become a full member unless the person has performed or participated in more than 100 home inspections and has passed a recognized or accredited examination testing knowledge of the proper procedures for conducting a home inspection and 4) requires that its members comply with a code of conduct and attend continuing professional education classes as an ongoing condition of membership.

If the buyer elects to have a home inspection, make sure the home inspector is properly qualified and operates in compliance with the law. Keep in mind that the law gives certain protection if the inspector provides a "written representation" regarding the home inspector's qualifications, so be sure to "get it in writing" when selecting an inspector. When hiring other inspectors, check out their qualifications and background, as well as whether they have any required local licenses and permits (for example, certain cities or municipalities might require that a plumber get a local license before being allowed to work).

MATERIAL DEFECT: A problem with a residential real property or any portion of it that would have a significant adverse impact on the value of the property or that involves an unreasonable risk to people on the property.

Wood Infestation

It's always a good idea to have the property inspected for wood-destroying insect infestation (termites) and it is usually required by mortgage lenders. Remember that it will be the buyer's responsibility to request treatment or repairs if they are desired.

Deeds, Restrictions and Zoning

Later in the agreement, it states that the seller will provide good title to the buyer, but that the title will be subject to existing deed restrictions and other types of existing limitations. Buyers will probably want to be sure that any existing restrictions don't interfere with how they expect to use the property. For example, a buyer who wants to install an in-ground pool may not be able to if it turns out the electric company has an easement for an underground power line that runs right through the yard. Buyers can use this inspection to look at the deed through a title search, as well as examining other property restrictions including zoning issues.

Water Service

If buyers are concerned about the status of the water system serving the property, they should elect to have the system inspected. This is often elected when the property is served by an on-site system, usually a private well.

There are no state or federal standards for well water, so the buyer may want to have a reputable water testing company analyze the quality of the water and provide a report listing any contamination. Buyers should speak with the testing company about what types of tests it will run and what contaminants it can detect. Different testing may be necessary for different areas. Buyers might also wish to have an inspector test the flow rate of the well, along with the physical structure of the well and its components.

Radon

Radon is a radioactive gas produced in the ground by the natural decay of radium and uranium and it is very common in Pennsylvania. Extended exposure to high levels of radon can pose serious health risks. If radon gas has been detected on the property through past testing, the seller must disclose this information in the Seller's Property Disclosure Statement. If no disclosure statement is required in your transaction, it may be prudent for a buyer to elect this inspection.

If radon is discovered to be at or higher than the level that is acceptable to the buyer, the buyer can decide which choice to make within the inspection process.

On-Lot Sewage

The inspection in this paragraph relates only to testing an on-lot sewage system such as a septic system, which can be tested in various ways including by a hydraulic load test. It's a good idea to have the sewage disposal system inspected unless current data and/or documentation is available to verify the current status of the system.

If the property has access to public sewer and buyers want to have an inspector check the flow and condition of the sewage lines it would be done under the home/property inspection found earlier in the agreement. Many municipalities have requirements for testing public sewage lines from the house so you should ask your Realtor® about what's required in your area.

If the inspection shows that the existing system is defective, but can be repaired without expansion or replacement, the parties proceed under the inspection process.

Unlike the other inspection contingencies, there is a second step to this contingency. If fixing the defects identified in the report would require expansion or replacement of the current system, the *seller* decides what action to take. The default terms of the agreement give the seller 25 days to get further testing and present a written corrective proposal (more on this below) to the buyer about expanding or replacing the system. The buyer then has the option to accept the terms of the proposal, take the property with no changes or terminate the agreement and get back any deposit monies

Property and Flood Insurance

Almost every buyer will want or need to obtain insurance coverage for the property. For buyers getting mortgage financing, the lender may require a minimum amount of insurance coverage. Even for a cash buyer who isn't required to get insurance by a lender, it is certainly a good idea to insure such a large investment against loss or damage.

Just like mortgage lenders have varying standards for making loans, insurers may have different standards for deciding whether to insure a particular property. These standards will often include the property's insurance history (whether there have been claims by the current or prior owners), the buyer's insurance history (whether the buyer has filed claims in prior homes), the property's condition and value and the buyer's credit history.

The property and flood insurance inspection gives buyers the option to make the agreement contingent on being able to obtain suitable insurance coverage. Electing this paragraph requires the buyer to make an application for insurance within the stated contingency period. If buyers are unable to obtain acceptable insurance within the contingency period, they will have the option to terminate the agreement without being in default.

Periodic changes to the National Flood Insurance Program (NFIP) can result in remapping of flood plains and removal of federal subsidies for the cost of flood insurance premiums. Buyers are cautioned to get quotes from several reputable sources based on current maps and not to rely on the seller's current need for or cost of flood insurance. Buyers should not delay in seeking quotes on the cost of insurance, as the estimates may take several weeks to complete.

Property Boundaries

If there isn't a valid legal description of the property in the deed, a survey may be required by the title company or attorney performing the title abstract. If so, the seller will pay for it. A buyer who is concerned about the precise location of the boundaries of the property may wish to obtain (and pay for) a survey, unless the property was recently surveyed and the markers/stakes remain. Without a survey, it is unlikely the sellers or Realtors® involved in the transaction will know precisely where the boundary lines are located.

Lead-Based Paint Hazards

The law provides buyers the right to carry out a risk assessment and/or inspection for the presence of lead-based paint and lead-based paint hazards in properties built prior to 1978. This paragraph allows the buyer to elect such an inspection. You should receive a pamphlet titled Protect Your Family From Lead in Your Home and a disclosure from the seller about the seller's knowledge of the lead-based paint on the property if the property was built before 1978.

INSPECTION CONTINGENCY

If the buyer decides to have any inspections, the Agreement of Sale lays out a process of how to proceed when the time for inspections (called the "contingency period") is over.

This process in the Agreement of Sale requires the buyers to give a copy of all inspection reports to the seller with the buyer's decision to accept the property in the condition reported by the inspector(s), terminate the agreement and get back any deposits or suggest another solution. Buyers make this suggestion by providing a "written corrective proposal" to the seller, which lists the issues the buyer would like to have addressed and what actions they would like the seller to take.

In most instances, buyers are asking for repairs to the property, some sort of a credit or "seller assist" towards the cost of repairs or a reduction in the sale price of the property. Various other alternatives may exist, but whatever the buyers wish to have done should be stated with some specificity in their written corrective proposal.

There are no specific requirements for what a written corrective proposal must look like, nor what must be in the proposal. PAR produces a form called the Buyer's Reply to Inspections/Reports (Form BRI) that can often be used for this purpose, but buyers may create their own proposals if desired. Negotiation during this period may be as formal or informal as the parties like, so long as the final terms of the agreement are put in writing and signed by the parties.

Whatever the format, buyers can make the terms of the proposal as specific as they would like. Depending on the context, this could include things like the name of the contractor and the methods used to do the work.

After receiving the proposal, the buyer and seller have a certain period of time to decide what to do with the buyers' requests. If the seller decides to complete everything as requested in the proposal, the buyers must move forward with the purchase of the property. If the seller chooses to not do everything in the proposal, the buyer and seller have a chance to try to negotiate a solution that works for both. If the time period for negotiation ends, and the parties haven't reached a mutually acceptable written agreement, then the buyer will have a chance to terminate the agreement.

TITLES, SURVEYS AND COSTS

Title to the Property

The seller will transfer ownership of the property to the buyer at settlement in the form of a deed. This is known as "taking title to the property." Buyers must request a title search and are encouraged to obtain title insurance; both are generally required by mortgage lenders.

The purpose of a title search is to research the history of the property to determine if there are any financial liens or claims of ownership to the property beyond the seller's ownership. If the title search reveals that the seller can't give "good and marketable title" free of other liens or claims, the buyer may terminate the sale and have all deposit monies returned.

Title insurance is meant to protect against claims or liens that may be discovered after the purchase is complete. For example, if a lien wasn't properly filed against the property and is only discovered several years after purchasing the property, a title insurance policy should pay some or all the costs of addressing that problem. There are several variations on title insurance, including some policies that cover certain property defects or the failure of prior owners to obtain proper permits for work done to the property.

Buyers should talk to their title insurer about the extent of protection offered by the title insurance policy. It is assumed that all rights to the property (sometimes called a "bundle of rights"), including those above and below the ground, transfer with the property unless the agreement specifies otherwise. If the buyer and seller know that not all of these rights will transfer - such as rights for coal mining or oil and gas drilling - they should make sure the agreement explains which rights will be transferred and which rights will not. There is a PAR form for this purpose.

If the property is in an area where coal has been extracted or where the rights to coal have been transferred separately from the rights to surface land, the legally required notice in Paragraph 17(H) informs the buyer that certain below-ground rights (the rights to the coal that may be under your property) might not be transferred with the property. It also advises buyers that damage may occur as a result of mining activity.

NOTICES, ASSESSMENTS AND MUNICIPAL REQUIREMENTS

Notices and Assessments

The seller is required to provide to the buyer any notices of assessments or violations received after the agreement has been signed by both parties, along with notice of whether the seller intends to pay the assessments and/or fix the violations. If the seller does not pay any new assessments or correct any new violations, the buyer then has a choice to accept the property (and pay the assessments or correct the violations) or terminate the sale and get back all deposit monies.

Certificate of Occupancy or Use and Occupancy Permit

In some municipalities, there is a requirement to obtain a "certificate of occupancy" or a "use and occupancy permit" when a property is sold. This process may include the municipality performing some sort of a physical inspection and reporting any violations of local ordinances. Depending on the ordinances, some or all the violations may need to be fixed before settlement or within a certain period after settlement. If the property has no violations, or if the property is brought into compliance with the ordinances, the owner will receive this certificate/permit.

If any violations are found during this municipal inspection, the seller will decide whether to fix the violations. If the seller agrees to the appropriate repairs, the buyer must move forward with the purchase; if not, the buyer has the choice to accept the temporary certificate issued by the municipality and make the repairs or to terminate the agreement and get back all deposit monies.

CONDOMINIUM/PLANNED COMMUNITY

Homeowner Association Notice

There are a number of differences between a "standard" residential property and one that is part of a condominium or planned community. Generally speaking, a condominium owner only owns the interior area of his or her "unit." The owner also owns, with all other owners, the property surrounding the units, which is called the "common area." Owners pay a monthly fee to cover maintenance and repairs to the common areas, which generally include sidewalks, parking areas, landscaping, swimming pools and the exteriors of the buildings.

A planned community is similar to a condominium, except the owner usually owns the building and the land directly underneath it. Most of the rest of the planned community would be common areas owned by all the owners and maintained by a homeowner association. Like the condominium, a monthly fee is generally assessed for upkeep of the common areas.

The condominium or homeowner association usually has a board of directors made up of owners. The board makes rules and regulations governing the use of the common areas and is also responsible for overseeing the association's finances.

When a newly constructed house is being purchased, the Uniform Condominium Act and the Pennsylvania Uniform Planned Community Act require the seller (if also the declarant) to give the buyer a public offering statement. These are slightly different requirements that are in place for the sale of an existing unit or house which, with some exceptions, obligate a seller to give a buyer a "certificate of resale," along with the rules and regulations of the association before the agreement can become binding. The certificate of resale contains a list of items that the buyer is entitled to review before settlement occurs. Buyers are given five days to review these documents and to terminate the sale if not satisfied for any reason. When purchasing a new unit in a condominium or a new house in a planned community, the developer (seller) is required to give you additional information and more time to review the documents. Ask your Realtor® for details.

A Word to the Wise

Many buyers are quite surprised to find out what sorts of limitations a condominium or homeowner association can enforce. Limitations can often include rules on choosing exterior paint color, putting up decorations and ornaments, landscaping and other issues. Certain activities may also be restricted, such as parking, ball playing and bicycle riding. To avoid surprises, buyers should learn as much as possible about the homeowner or condominium association restrictions **BEFORE** buying this type of property.

REAL ESTATE TAXES AND ASSESSED VALUE

Currently, Pennsylvania property and school taxes are based on a home's fair market value. These assessments are done on a county-wide basis and not upon the sale of the property. If the property owner or taxing authority (school district, township, etc.) disagree with the new assessment, both sides have certain rights of appeal. A successful appeal by either party could result in the taxes going up or down.

MAINTENANCE AND RISK OF LOSS

It is a common misconception that a property is guaranteed to be in "good" condition at settlement. In reality, buyers are purchasing the property in the condition it is in at the time both parties sign (execute) the Agreement of Sale unless the terms of the agreement state otherwise. This means that if the buyer wants something to be fixed or replaced before settlement, it should be in writing as a term of the agreement or in an addendum.

Generally, the agreement refers to the property as being in its "present condition" at the time the agreement is signed. If the condition changes before settlement, after accounting for normal wear and tear (and any changes made as a result of the inspection contingency process), the agreement says that the seller can either correct the condition or credit the buyer the cost for the correction. If the seller fails to correct the condition or offer a credit, the buyer can terminate the sale.

Let's use the refrigerator as an example and assume that it is included with the sale of the home. If, after the buyer submits an offer, a few small scratches appear on the door of the refrigerator, then the agreement places no obligation on the seller to do anything because that would be considered normal wear and tear. The seller is prohibited, however, from taking the refrigerator that the buyers think they are getting and replacing it with an older or less-expensive one (that is not present condition). If the refrigerator that the buyers are to receive breaks before settlement, then the seller must either repair it, replace it or provide the buyer with a credit. If the seller fails to do any of those three things, then the buyer has the option to terminate the agreement.

Where there is damage from a fire or any other sort of disaster (flood, tornado, etc.) which is not repaired or replaced prior to settlement, the buyer has the choice to accept the property with the seller's insurance reimbursement, if any, or to terminate the agreement and get any deposits returned.

HOME WARRANTIES

A home warranty is like an insurance policy that covers some or all of the costs to repair or replace certain appliances or systems of a home. In some transactions, a seller might elect to purchase a warranty that would cover the home after it is sold. Other times a buyer might want to purchase the warranty on his own. The types of warranties and their availability will vary from market to market, so check with your Realtor® if you think purchasing a home warranty might be useful.

RECORDING

After the seller accepts the Agreement of Sale, but before settlement is complete, a buyer technically has an ownership interest in the property. In fact, buyers are sometimes known as "equitable owners" prior to settlement. Paragraph 20 states that the executed Agreement of Sale, which creates this ownership interest, may not be recorded at the courthouse. When settlement is complete, the new deed will be recorded in the public record as evidence of the buyer's full ownership of the property.

ASSIGNMENT

Occasionally, a buyer might not want his or her identity known to the seller. For example, an investor seeking to buy several homes on the same block might not want the sellers to know that the same buyer is interested in all the lots. In that sort of transaction, the original offer might be submitted with the name of another person or company identified as the buyer. Once the contract is signed, the identified buyer would then "assign" the right to purchase the property to the true buyer via a separate contract.

This can cause problems for sellers, who might find that they are suddenly in a transaction with a buyer they wouldn't have accepted had they known the buyer's true identity from the beginning. To avoid this problem, the agreement states that a buyer may not transfer or assign the Agreement of Sale to another buyer without the seller's permission. That is, if the identified buyer doesn't have the seller's permission to make the assignment, the buyer must go forward with the purchase himself or risk being in default and losing all deposits.

If you know in advance that the right to purchase will be assigned, you should talk to your Realtor®.

The buyer may be required to pay additional transfer tax when assigning the right to purchase. Talk to an attorney and/or accountant about the potential impacts.

GOVERNING LAW, VENUE AND PERSONAL JURISDICTION

Should a legal problem arise during the transaction that results in the filing of a lawsuit, the parties agree to file and defend the lawsuit within Pennsylvania courts, using Pennsylvania law.

FOREIGN INVESTMENT IN REAL PROPERTY TAX ACT OF 1980

Typically, the transfer of an interest in real estate is a taxable event. FIRPTA permitted the Internal Revenue Service (IRS) to impose a tax on foreign persons upon the transfer of real estate located within the U.S. A "foreign person" can be a nonresident alien individual, a foreign corporation, a foreign partnership, a foreign trust or a foreign estate. The term does not apply to resident aliens. Foreign persons must inform buyers of their status and provide an affidavit setting forth the information needed to properly record the tax. When purchasing real estate from a foreign person, the buyers are required to act as withholding agents and withhold a percentage of the profit as tax. Failure to properly withhold could result in the buyer being liable for the tax, so it is wise to consult an attorney or accountant if involved in this type of transaction.

NOTICE REGARDING CONVICTED SEX OFFENDERS (MEGAN'S LAW)

Pennsylvania law requires those convicted of certain sexual offenses to register with the state police under a program commonly known as Megan's Law. The purpose of Megan's Law is to provide community notification of the presence of certain individuals in a particular area. The state police website (www.pameganslaw.state.pa.us) provides a searchable database for the public's use.

A search of this nature is not an inspection, nor is the proximity of an offender a material defect that must be disclosed under the Seller Disclosure Law. Buyers who are concerned should make use of the resources available to them prior to submitting an offer.

REPRESENTATIONS

During the course of a transaction, many people say many things. Buyers will probably hear or read information about the property provided by the seller, the seller's Realtor® and the buyer's own Realtor®. Sellers will likely have gotten certain information about the buyers and their financial position from the buyers' Realtor® or the buyers themselves.

With all this additional information floating around, it is important to remember that the transaction is ruled ONLY by what is written in the agreement and any addenda. If there is something about the transaction that isn't in writing and included as part of the agreement, neither side can rely on it. If you want something to be done, get it in writing even if the other party verbally says they'll take care of it. If there is a proposed term written in the agreement that you dislike or disagree with, delete it before signing the form; if a term is in the agreement you will be bound by it, even if the other party stated that it wouldn't be a big deal. Take the time to read and understand all relevant portions of the agreement and any addenda. The time to deal with any issues is well before settlement, not at the settlement table or after the purchase is complete!

DEFAULT, TERMINATION AND RETURN OF DEPOSITS

If a party fails to do something that is required by the agreement, that party could be in default. If this happens, the other party may have certain legal rights and other rights granted by the terms of the agreement.

In most transactions, the buyer will have some amount of money paid as a deposit being held in escrow by a broker. The default paragraph of the agreement states that where the buyer is in default (usually for failing to do something necessary to keep the transaction moving forward), the seller will get to keep the buyer's deposits. There is also a choice for the seller to decide whether those damages will be the complete remedy for the default or if the seller will reserve the right to also file a lawsuit for any additional remedy that might be provided by law.

Where the seller is in default, the buyer's rights are primarily defined by law, not by the agreement. If the buyer wants to move forward with the purchase, but the seller backs out for a reason not permitted in the agreement, the buyer may be able to bring a lawsuit for damages or to force the seller to complete the sale.

There are many places in the agreement where your action (or inaction) could lead to a default. Your Realtor® can help keep track of your various deadlines and responsibilities to make sure you don't inadvertently end up in default.

Any deposits will be given to the real estate broker (unless another "escrow agent" is named in the agreement) and will be applied to the purchase price. State laws strictly outline a real estate broker's escrow duties and dictate that deposits be kept in an escrow account separate from the real estate broker's regular business account.

MEDIATION

It used to be that if a dispute between a buyer and seller couldn't be resolved amicably between the parties, the only other option was to go to court.

In many areas of Pennsylvania, the local association of Realtors® offers a mediation process that brings the parties together with a trained mediator at a moderate cost to encourage an amicable solution. The language in this paragraph indicates that the buyer and seller agree in advance to mediate using the mediation process offered by the local association of Realtors® if a dispute arises. If the dispute cannot be resolved, the parties are still free to go to court. You can ask your Realtor® for more information.

RELEASE

Depending on the terms negotiated by the parties, the buyer may have various opportunities to renegotiate or to terminate the agreement. Where the buyer elects to move forward with the transaction or misses a deadline, the agreement states that the buyer will accept the property and agree to this release.

In general terms, the release states that the buyers understand that if they accept the property with certain conditions, they can't then come back and file suit against the seller over those conditions. For example, if the buyer does an inspection that detects roofing problems, but chooses to move forward without asking the seller to fix the roof, the buyer can't come back later after the roof starts leaking and sue the seller for the cost of making repairs to the roof.

It is important to note that the release does NOT protect the seller in the case of fraud or any other default by the seller. So if the seller agrees to fix a problem with the roof but then lies about getting the repair done, the buyer is probably not bound by the release language of the agreement. Because the release is so important, it is a good idea to ask your Realtor® or an attorney if you have any questions.

REAL ESTATE RECOVERY FUND

Pennsylvania law can protect consumers in the unlikely event that there is misconduct on the part of the real estate licensees involved in the transaction. If you successfully sue the licensee or licensees for their actions but are unable to collect your judgment from them, the Real Estate Recovery Fund can be a source to collect some, if not all, of your funds.

COMMUNICATIONS WITH BUYER AND/OR SELLER

Communication between the parties and their Realtors® is the key to a smooth, successful transaction. Copies of important documents, such as the time-sensitive Loan Estimate and Closing Disclosure, should be provided to your Realtor® as soon as you receive them.

In most cases, communicating something to a buyer agent is viewed as the same as communicating something to the buyer. The same holds true for the seller agent and the seller. The only exception to this rule is the resale certificates for condominiums and planned communities. These certificates must be delivered to the buyer before the buyer's time to review these documents would begin, so this allows the seller's agent to send those documents to the buyer directly rather than going through the buyer agent.

HEADINGS

You will see that each of the paragraphs (and some subparagraphs) in the agreement are labeled with a heading. The headings are to help organize and locate information and are not interpreted as providing any rights or responsibilities to the parties or their agents.

SPECIAL CLAUSES

During the negotiation process, both the buyer and seller will probably make a number of changes to the preprinted text of the agreement. Sometimes these changes will just help clarify the preprinted text (changing the number of days for an inspection, for example), and sometimes they will substantially alter the text (perhaps by crossing out and rewriting a paragraph to better reflect the parties' intention). In certain other cases, the buyer and seller will decide that there is a need to include something completely new in the agreement.

The special clauses paragraph provides the parties some space to add new or different terms that aren't included in the preprinted text. There is also a list of some commonly used PAR addenda that the parties might decide to use if they are relevant to the transaction, along with some blank lines to indicate that some other addenda are attached.

SIGNING THE AGREEMENT

You will be asked to initial and date each page and sign the Agreement of Sale. **BE SURE TO FILL OUT THE SIGNATURE AREA COMPLETELY.**

The last, but certainly one of the most important steps of the process, is to promptly deliver the completed Agreement of Sale to the other party.

MISCELLANEOUS BROKER SERVICES

You may be asked to sign a separate agreement with your Realtor® for specific services relating to the sale. If the broker, or anyone affiliated with the company, has a financial affiliation with any of the service providers, it will be disclosed to you in a separate form.

LET YOUR REALTOR® BE YOUR GUIDE

Real estate transactions can be very complicated and you'll probably feel overwhelmed.

This booklet is designed to get you more comfortable with this part of the process, but your Realtor® is there to guide you from start to finish, so be sure to rely on the expertise of your Realtor® to see you through it.

NOTES AND QUESTIONS:

Pennsylvania Association of Realtors®

Listing Contract (Seller Agency Contract)
Exclusive Right to Sell Real Estate

This form recommended and approved for, but not restricted to use by, the members of the Pennsylvania Association of Realtors® (PAR).

Broker (Company) ____	Licensee(s) (Name) ____
Company License # ____	State License # ____
Company Address ____	Direct Phone(s) ____
	Cell Phone(s) ____
Company Phone ____	Licensee Fax ____
Company Fax ____	Email ____

SELLER ____

SELLER'S MAILING ADDRESS ____

PHONE ____ **CELL** ____

E-MAIL ____ **FAX** ____

Seller understands that this Listing Contract is between Broker and Seller.

Does Seller have a listing contract for this Property with another broker? ☐ **Yes** ☐ **No**

If yes, explain: ____

1. PROPERTY **LISTED PRICE $** ____

Address ____ ZIP ____

Municipality (city, borough, township) ____

County ____ School District ____

Zoning ____

Present Use ____

Currently Occupied By ____

Identification (For example, Tax ID #; Parcel #; Lot, Block; Deed Book, Page, Recording Date) ____

2. STARTING & ENDING DATES OF LISTING CONTRACT (ALSO CALLED "TERM") (8-24)

(A) **No law or Association of REALTORS® has set or recommended the term of this contract.** Broker/Licensee and Seller have discussed and agreed upon the term of this Contract.

(B) **Starting Date:** This Contract starts when signed by Broker and Seller, unless otherwise stated here: ____

(C) **Ending Date:** This Contract ends at 11:59 PM on ____. By law, the term of a listing contract may not exceed one year. If the Ending Date written in this Contract creates a term that is longer than one year, the Ending Date is automatically 364 days from the Starting Date of this Contract.

3. DUAL AGENCY

Seller agrees that Broker and Broker's Licensees may also represent the buyer(s) of the Property. A Broker is a Dual Agent when a Broker represents both a buyer and Seller in the same transaction. A Licensee is a Dual Agent when a Licensee represents a buyer and Seller in the same transaction. All of Broker's licensees are also Dual Agents UNLESS there are separate Designated Agents for a buyer and Seller. If the same Licensee is designated for a buyer and Seller, the Licensee is a Dual Agent. Seller understands that Broker is a Dual Agent when a buyer who is represented by Broker is viewing properties listed by Broker.

4. DESIGNATED AGENCY

Designated Agency is applicable, unless checked below. Broker designates the Licensee(s) above to exclusively represent the interests of Seller. If Licensee is also the buyer's agent, then Licensee is a DUAL AGENT.

☐ **Designated Agency is not applicable.**

5. BROKER'S FEE (8-24)

(A) **No law or Association of REALTORS® has set or recommended the Broker's Fee.** Broker and Seller have negotiated the fee that Seller will pay Broker.

(B) Broker's Fee is ____% of the Purchase Price OR $____, whichever is greater, AND $____, paid to Broker by Seller as follows:

1. $____ of Broker's Fee is earned and due **(non-refundable)** at signing of this Listing Contract, payable to Broker.

2. **Seller will pay** the balance of **Broker's Fee if:**
   a. **Property, or any ownership interest in it, is sold or exchanged during the term of this Contract by Broker, Broker's Licensee(s), Seller, or by any other person or broker, at the listed price or any price acceptable to Seller,** OR
   b. A ready, willing, and able buyer is found, during the term of this Contract, by Broker or by anyone, including Seller. A willing buyer is one who will pay the listed price or more for the Property, or one who has submitted an offer accepted by Seller, OR
   c. Negotiations that are pending at the Ending Date of this Contract result in a sale, OR
   d. A Seller signs an agreement of sale then refuses to sell the Property, or if a Seller is unable to sell the Property because of failing to do all the things required of the Seller in the agreement of sale (Seller default), OR
   e. The Property or any part of it is taken by any government for public use (Eminent Domain), in which case Seller will pay from any money paid by the government, OR
   f. A sale occurs after the Ending Date of this Contract IF:
      (1) The sale occurs within ________ days of the Ending Date, AND
      (2) The buyer was shown or negotiated to buy the Property during the term of this Contract, AND
      (3) The Property is not listed under an "exclusive right to sell contract" with another broker at the time of the sale.

(C) If a sale occurs, the balance of Broker's Fee will be paid upon delivery of the deed or other evidence of transfer of title or interest. If the Property is transferred by an installment contract, balance of Broker's Fee will be paid upon the execution of the installment contract.

(D) **Broker's Fee if Settlement Does Not Occur**
If an agreement of sale is signed but settlement does not occur, and deposit monies are released to Seller, Seller will pay Broker ____ of/from deposit monies.

6. COOPERATING COMPENSATION OFFERED TO BROKERS WORKING WITH BUYERS (8-24)

(A) Licensee(s) has explained Seller's options and company policies regarding compensation and cooperation with other brokers. In a transaction where a buyer is working with a real estate broker, Seller authorizes and instructs Broker to offer cooperating compensation in the amount of _____% or $___________ of/from the Purchase Price (0, if not specified), paid from the Broker's Fee, to a cooperating broker who is the procuring cause of a successful transaction. Broker will document the agreed-upon amount by using a form such as the Cooperating Broker Compensation Agreement (PAR Form CBC) or a similar agreement. Even though a cooperating broker's fee, or a portion of it, may be paid by the listing broker, the cooperating broker will continue to represent the interests of the buyer.

(B) The rules of the Multiple Listing Service (MLS) do not permit Broker to advertise cooperating compensation through the MLS or in any other system or platform that utilizes data supplied by the MLS. Seller authorizes Broker to advertise or otherwise inform potential buyers and their brokers about any offer of cooperating compensation via any other method of marketing or communication authorized by this Contract, unless otherwise stated here: ____
____

7. SELLER CONCESSIONS (8-24)

Sellers sometimes offer to make financial concessions towards paying buyer's costs at settlement. Seller concessions could be used to pay any costs incurred by buyer, as acceptable to a mortgage lender, if any, including brokerage fees charged by a broker working with the buyer and/or other ordinary and customary closing costs. Any seller concession must be negotiated and included in an agreement of sale to be binding on the buyer and seller. Even though a cooperating broker's fee, or a portion of it, may be paid by a seller, the cooperating broker will continue to represent the interests of the buyer.

(A) **In addition to cooperating compensation offered by Broker, if any,** Seller is willing to consider negotiations in which buyers may request seller concessions, unless otherwise stated here: ____
____

(B) Seller authorizes Broker to advertise or otherwise inform potential buyers and their brokers about Seller's willingness to negotiate seller concessions, including a maximum amount of up to _____% or $_________ of/from the Purchase Price (amount is fully negotiable in an agreement of sale, if not specified), via the MLS any other method of marketing or communication authorized by this Contract, unless otherwise stated here: ____
____

8. DUTIES OF BROKER AND SELLER

(A) Broker is acting as a Seller Agent, as described in the Consumer Notice, to market the Property and to negotiate with potential buyers. Broker will use reasonable efforts to find a buyer for the Property.

(B) Seller will cooperate with Broker and assist in the sale of the Property as asked by Broker.

(C) All showings, negotiations and discussions about the sale of the Property, written or oral, will be communicated by Broker on Seller's behalf. All written or oral inquiries that Seller receives or learns about regarding the Property, regardless of the source, will be referred to Broker.

(D) If the Property, or any part of it, is rented, Seller will give any leases to Broker before signing this Contract. If any leases are oral, Seller will provide a written summary of the terms, including amount of rent, ending date, and Tenant's responsibilities.

(E) Seller will not enter into, renew, or modify any leases, or enter into any option to sell, during the term of this Contract without Broker's written consent.

9. BROKER'S SERVICE TO BUYER

Broker may provide services to a buyer for which Broker may accept a fee. Such services may include, but are not limited to: document preparation; ordering certifications required for closing; financial services; title transfer and preparation services; ordering insurance, construction, repair, or inspection services.

10. BROKER NOT RESPONSIBLE FOR DAMAGES

Seller agrees that Broker and Broker's Licensee(s) are not responsible for any damage to the Property or any loss or theft of personal goods from the Property unless such damage, loss or theft is solely and directly caused by Broker or Broker's Licensee(s).

11. DEPOSIT MONEY

(A) Broker, if named in an agreement of sale, will keep all deposit monies paid by or for the buyer in an escrow account until the sale is completed, the agreement of sale is terminated, or the terms of a prior written agreement between the buyer and Seller have been met. This escrow account will be held as required by real estate licensing laws and regulations. Buyer and Seller may name a non-licensee as the escrow holder, in which case the escrow holder will be bound by the terms of the escrow agreement, if any, not by the Real Estate Licensing and Registration Act. Seller agrees that the person keeping the deposit monies may wait to deposit any uncashed check that is received as deposit money until Seller has accepted an offer.

(B) Regardless of the apparent entitlement to deposit monies, Pennsylvania law does not allow a Broker holding deposit monies to determine who is entitled to the deposit monies when settlement does not occur. Broker can only release the deposit monies:

1. If an agreement of sale is terminated prior to settlement and there is no dispute over entitlement to the deposit monies. A written agreement signed by both parties is evidence that there is no dispute regarding deposit monies.
2. If, after Broker has received deposit monies, Broker receives a written agreement that is signed by Buyer and Seller, directing Broker how to distribute some or all of the deposit monies.
3. According to the terms of a final order of court.
4. According to the terms of a prior written agreement between Buyer and Seller that directs the Broker how to distribute the deposit monies if there is a dispute between the parties that is not resolved.

(C) Seller agrees that if Seller names Broker or Broker's licensee(s) in litigation regarding deposit monies, the attorneys' fees and costs of the Broker(s) and licensee(s) will be paid by Seller.

12. OTHER PROPERTIES

Seller agrees that Broker may list other properties for sale and that Broker may show and sell other properties to prospective buyers.

13. ADDITIONAL OFFERS

Unless prohibited by Seller, if Broker is asked by a buyer or another licensee(s) about the existence of other offers on the Property, Broker will reveal the existence of other offers and whether they were obtained by the Licensee(s) identified in this Contract, by another Licensee(s) working with Broker, or by a licensee(s) working for a different Broker. ONCE SELLER ENTERS INTO AN AGREEMENT OF SALE, BROKER IS NOT REQUIRED TO PRESENT OTHER OFFERS.

14. SELLER WILL REVEAL DEFECTS & ENVIRONMENTAL HAZARDS

(A) Seller (including Sellers exempt from the Real Estate Seller Disclosure Law) will disclose all known material defects and/or environmental hazards on a separate disclosure statement. A material defect is a problem or condition that:

1. is a possible danger to those living on the Property, or
2. has a significant, adverse effect on the value of the Property.

The fact that a structural element, system or subsystem is near, at or beyond the end of the normal useful life of such a structural element, system or subsystem is not by itself a material defect.

(B) Seller will update the Seller's Property Disclosure Statement as necessary throughout the term of this Listing Contract.

(C) If Seller fails to disclose known material defects and/or environmental hazards:

1. Seller will not hold Broker or Licensee(s) responsible in any way;
2. Seller will protect Broker and Licensee(s) from any claims, lawsuits, and actions that result;
3. Seller will pay all of Broker's and Licensee's costs that result. This includes attorneys' fees and court-ordered payments or settlements (money Broker or Licensee pays to end a lawsuit or claim).

15. IF PROPERTY WAS BUILT BEFORE 1978

The Residential Lead-Based Paint Hazard Reduction Act says that any seller of property built before 1978 must give the buyer an EPA pamphlet titled *Protect Your Family From Lead in Your Home*. The seller also must tell the buyer and the broker what the seller knows about lead-based paint and lead-based paint hazards that are in or on the property being sold. Seller must tell the buyer how the seller knows that lead-based paint and lead-based paint hazards are on the property, where the lead-based paint and lead-based paint hazards are, the condition of the painted surfaces, and any other information seller knows about lead-based paint and lead-based paint hazards on the property. Any seller of a pre-1978 structure must also give the buyer any records and reports that the seller has or can get about lead-based paint or lead-based paint hazards in or around the property being sold, the common areas, or other dwellings in multi-family housing. According to the Act, a seller must give a buyer 10 days (unless seller and the buyer agree to a different period of time) from the time an agreement of sale is signed to have a "risk assessment" or inspection for possible lead-based paint hazards done on the property. Buyers may choose not to have the risk assessment or inspection for lead paint hazards done. If the buyer chooses not to have the assessment or inspection, the buyer must inform the seller in writing of the choice. The Act does not require the seller to inspect for lead paint hazards or to correct lead paint hazards on the property. The Act does not apply to housing built in 1978 or later.

16. HOME WARRANTIES

At or before settlement, Seller may purchase a home warranty for the Property from a third-party vendor. Seller understands that a home warranty for the Property does not alter any disclosure requirements of Seller, may not cover or warrant any pre-existing defects of the Property, and will not alter, waive or extend any provisions of the Agreement regarding inspections or certifications that Buyer may elect or waive as part of the Agreement. Seller understands that Broker who recommends a home warranty may have a business relationship with the home warranty company that provides a financial benefit to Broker.

17. RECORDINGS ON THE PROPERTY

(A) Seller understands that potential buyers viewing the Property may engage in photography, videography or videotelephony on the Property. Seller should remove any items of a personal nature Seller does not wish to have photographed or recorded, such as family photos, important or confidential paperwork (including any information relating to the listing or communications with Broker or Licensee) and all other personally identifiable information such as birthdates, social security numbers, telephone numbers, etc. Seller is responsible for providing this same notification to any occupants of the Property.

(B) Any person who intentionally intercepts oral communications by electronic or other means without the consent of all parties is guilty of a felony under Pennsylvania law. Seller understands that recording or transmitting audio may result in violation of state or federal wiretapping laws. **Seller hereby releases all BROKERS, their LICENSEES, EMPLOYEES and any OFFICER or PARTNER of any one of them, and any PERSON, FIRM or CORPORATION who may be liable by or through them, from any claims, lawsuits and actions which may arise from any audio or video recordings occurring in or around the Property.**

18. RECOVERY FUND

Pennsylvania has a Real Estate Recovery Fund (the Fund) to repay any person who has received a final court ruling (civil judgment) against a Pennsylvania real estate licensee because of fraud, misrepresentation, or deceit in a real estate transaction. The Fund repays persons who have not been able to collect the judgment after trying all lawful ways to do so. For complete details about the Fund, call (717) 783-3658.

19. NOTICE TO PERSONS OFFERING TO SELL OR RENT HOUSING IN PENNSYLVANIA

Federal and state laws make it illegal for a seller, a broker, or anyone to use RACE, COLOR, RELIGION or RELIGIOUS CREED, SEX, DISABILITY (physical or mental), FAMILIAL STATUS (children under 18 years of age), AGE (40 or older), NATIONAL ORIGIN, USE OR HANDLING/TRAINING OF SUPPORT OR GUIDE ANIMALS, or the FACT OF RELATIONSHIP OR ASSOCIATION TO AN INDIVIDUAL KNOWN TO HAVE A DISABILITY as reasons for refusing to sell, show, or rent properties, loan money, or set deposit amounts, or as reasons for any decision relating to the sale of property.

20. TRANSFER OF THIS CONTRACT

(A) Seller agrees that Broker may transfer this Contract to another broker when:

1. Broker stops doing business, OR
2. Broker forms a new real estate business, OR
3. Broker joins his business with another.

(B) Broker will notify Seller immediately in writing if Broker transfers this Contract to another broker. Seller will follow all requirements of this Contract with the new broker.

21. NO OTHER CONTRACTS

Seller will not enter into another listing contract for the property(s) identified in Paragraph 1 with another broker that begins before the Ending Date of this Contract.

22. CONFLICT OF INTEREST

It is a conflict of interest when Broker or Licensee has a financial or personal interest in the property and/or cannot put Seller's interests before any other. If Broker, or any of Broker's licensees, has a conflict of interest, Broker will notify Seller in a timely manner.

23. ENTIRE CONTRACT

This Contract is the entire agreement between Broker and Seller. Any verbal or written agreements that were made before are not a part of this Contract.

24. CHANGES TO THIS CONTRACT

All changes to this Contract must be in writing and signed by Broker and Seller.

25. MARKETING OF PROPERTY (8-24)

(A) Multiple Listing Services (MLS)

1. An MLS is a subscription service used by real estate licensees to market properties to other subscribers. MLS marketing is governed by specific rules and policies, which may differ depending on the MLS used.
2. Sellers have the right to decide whether their Property will be marketed in an MLS, but should understand that opting out of MLS marketing may restrict Broker's ability to market the Property in other ways.

☐ Broker **will not** use an MLS to advertise the Property. Seller understands and agrees that the listing may be reported to an MLS, but will not be marketed for sale via an MLS. Further, Seller understands and agrees that any and all public marketing of the Property through the use of other means such as yard signs, social media, and public-facing websites may be prohibited. Seller may be required to sign an additional waiver or release to comply with MLS rules and policies.

☐ Broker will use an MLS to advertise the Property to other real estate brokers and salespersons. Listing broker shall communicate to the MLS all of Seller's elections made below. Seller agrees that Broker and Licensee, and the MLS are not responsible for mistakes in an MLS or advertising of the Property.

(B) Virtual Office Website (VOW) and Internet Data Exchange (IDX)

1. Some brokers may use a VOW or IDX, which are governed by specific rules and policies. Sellers have the right to control some elements of how their property is displayed on a VOW and/or IDX website.
2. Seller elects to have the following features disabled or discontinued for VOW and IDX websites (check all that apply):
   - ☐ Comments or reviews about Seller's listings, or a hyperlink to such comments or reviews, in immediate conjunction with Seller's listing.
   - ☐ Automated estimates of the market value of Seller's listing, or a hyperlink to such estimates, in immediate conjunction with the Seller's listing.

(C) Other Advertising and Marketing

1. Where permitted, Broker, at Broker's option, may use: for sale sign, lock box, key in office, open houses and advertising in all media, including print and electronic, photographs and videos, unless otherwise stated here: ______________________
2. ☐ Seller does not want the listed Property to be displayed on the Internet.
   ☐ Seller does not want the address of the listed Property to be displayed on the Internet.
3. Seller understands and acknowledges that, if the listed Property is not displayed on the Internet, consumers who conduct searches for listings on the Internet will not see information about the listed Property in response to their search.
4. Seller understands and acknowledges that, if an open house is scheduled, the property address may be published on the Internet in connection to the open house.

(D) Other ______________________

26. PUBLICATION OF SALE PRICE

Seller is aware that the Multiple Listing Service (MLS), newspapers, Web Sites, and other media may publish the final sale price of the Property.

27. COPYRIGHT

In consideration of Broker's efforts to market Seller's Property as stated in this Contract, Seller grants Broker a non-exclusive, worldwide license (the "License") to use any potentially copyrightable materials (the "Materials") which are related to the Property and provided by Seller to Broker or Broker's representative(s). The Materials may include, but are not limited to: photographs, images, video recordings, virtual tours, drawings, written descriptions, remarks, and pricing information related to Seller's Property. This License permits Broker to submit the Materials to one or more multiple listing services, to include the Materials in compilations of property listings, and to otherwise distribute, publicly display, reproduce, publish and produce derivative works from the Materials for any purpose that does not conflict with the express terms of this Contract. The License may not be revoked by Seller and shall survive the ending of this Contract. Seller also grants Broker the right to sublicense to others any of these rights granted to Broker by Seller. Seller represents and warrants to Broker that the License granted to Broker for the Materials does not violate or infringe upon the rights, including any copyrights, of any person or entity. Seller understands that the terms of the License do not grant Seller any legal right to any works that Broker may produce using the Materials.

28. FIXTURES AND PERSONAL PROPERTY

(A) It is possible for certain items of personal property to be so integrated into the Property that they become fixtures and will be regarded as part of the Property and therefore included in a sale. **Seller is encouraged to be specific when negotiating what items will be included or excluded in a sale.**

(B) INCLUDED in this sale are all existing items permanently installed in the Property, free of liens, and other items including plumbing; heating; radiator covers; hardwired security systems; thermostats; lighting fixtures (including chandeliers and ceiling fans); pool and spa equipment (including covers and cleaning equipment); electric animal fencing systems (excluding collars); garage door openers and transmitters; unpotted shrubbery, plantings and trees; any remaining heating and cooking fuels stored on the Property at the time of settlement; smoke detectors and carbon monoxide detectors; sump pumps; storage sheds; fences; mailboxes; wall to wall carpeting; existing window screens, storm windows and screen/storm doors; window covering hardware, shades and blinds; awnings; built-in air conditioners; built-in appliances; the range/oven, unless otherwise stated; and, if owned, solar panels, windmills, water treatment systems, propane tanks and satellite dishes. Also included: ______________________

(C) The following items are not owned by Seller and may be subject to a lease or other financing agreement (e.g., solar panels, windmills, water treatment systems, propane tanks, and satellite dishes): ______________________

(D) EXCLUDED fixtures and items: ______________________

29. TAXES & SPECIAL ASSESSMENTS

(A) At settlement, Seller will pay one-half of the total Real Estate Transfer Taxes, unless otherwise stated here: ____________________

____

(B) Yearly Property Taxes $ ____________ Property Assessed Value $ ____________

(C) Is the property preferentially assessed (including a tax abatement)? ☐ Yes ☐ No

If applicable, how many years remain? ____________________

(D) COA/HOA Name ____________ COA/HOA Phone ____________

COA/HOA special assessments $ ____________ Buyer's required capital contribution $ ____________

Please explain: ____________________

(E) COA/HOA Fees $ ____________ ☐ Quarterly ☐ Monthly ☐ Yearly

(F) Municipality Assessments $ ____________________

30. FOREIGN INVESTMENT IN REAL PROPERTY TAX ACT OF 1980 (FIRPTA)

The disposition of a U.S. real property interest by a foreign person (the transferor) is subject to the Foreign Investment in Real Property Tax Act of 1980 (FIRPTA) income tax withholding. FIRPTA authorized the United States to tax foreign persons on dispositions of U.S. real property interests. This includes but is not limited to a sale or exchange, liquidation, redemption, gift, transfers, etc. Persons purchasing U.S. real property interests (transferee) from foreign persons, certain purchasers' agents, and settlement officers are required to withhold up to 15 percent of the amount realized (special rules for foreign corporations). Withholding is intended to ensure U.S. taxation of gains realized on disposition of such interests. The transferee/buyer, as the withholding agent, may request that you complete a FIRPTA Affidavit regarding your status as a foreign person as defined by the Act. Seller agrees to comply, if applicable.

31. TITLE & POSSESSION

(A) Seller will give possession of Property to a buyer at settlement, or on ____________________

(B) At settlement, Seller will give full rights of ownership (fee simple) to a buyer except as follows:

☐ Oil ☐ Gas ☐ Mineral ☐ Other

If checked, please explain: ____________________

____

(C) Seller has:

☐ First mortgage with ____________ Amount of balance $ ____________

Address ____________________

Phone ____________ Acct. # ____________

☐ Second mortgage with ____________ Amount of balance $ ____________

Address ____________________

Phone ____________ Acct. # ____________

☐ Home Equity line of credit with ____________ Amount of balance $ ____________

Address ____________________

Phone ____________ Acct. # ____________

☐ Seller authorizes Broker to receive mortgage payoff and/or equity loan payoff information from lender(s).

(D) Seller has:

☐ Judgments $ ____________ ☐ Past Due Municipal Assessment $ ____________

☐ Past Due Property Taxes $ ____________ ☐ Past Due COA/HOA Fees $ ____________

☐ Federal Tax Liens $ ____________ ☐ Past Due COA/HOA Assessments $ ____________

☐ State Tax Liens (including sales, use and hotel occupancy taxes) $ ____________

☐ Other: ____________ $ ____________

(E) If Seller, at any time on or since January 1, 1998, has been obligated to pay support under an order on record in any Pennsylvania county, list the county and the Domestic Relations Number or Docket Number: ____________

32. BUYER FINANCING

Seller will accept the following arrangements for buyer to pay for the Property:

☐ Cash ☐ Conventional mortgage ☐ FHA mortgage ☐ VA mortgage

33. SPECIAL INSTRUCTIONS

The Office of the Attorney General has not pre-approved any special conditions or additional terms added by any parties. Any special conditions or additional terms in this Contract must comply with the Pennsylvania Plain Language Consumer Contract Act.

34. SPECIAL CLAUSES

(A) The following are part of this Listing Contract if checked:

- ☐ Property Description Addendum to Listing Contract (PAR Form XLS-A)
- ☐ Single Agency Addendum (PAR Form SA)
- ☐ Consumer Services Fee Addendum (PAR Form CSF)
- ☐ Vacant Land Addendum to Listing Contract (PAR Form VLA)
- ☐ Short Sale Addendum (PAR Form SSL)
- ☐ ______________________________
- ☐ ______________________________

(B) Additional Terms:

____

____

____

____

____

____

____

____

____

____

____

		Seller has read the Consumer Notice as adopted by the State Real Estate Commission at 49 Pa. Code §35.336.
		Seller has received the Seller's Property Disclosure form and agrees to complete and return to Listing Broker in a timely manner, if required.
		Seller has received the Lead-Based Hazards Disclosure form and agrees to complete and return to Listing Broker in a timely manner, if required.

Seller has read the entire Contract before signing. Seller must sign this Contract.

Seller gives permission for Broker to send information about this transaction to the fax number(s) and/or e-mail address(es) listed.

Return of this Agreement, and any addenda and amendments, including return by electronic transmission, bearing the signatures of all parties, constitutes acceptance by the parties.

This Contract may be executed in one or more counterparts, each of which shall be deemed to be an original and which counterparts together shall constitute one and the same Agreement of the Parties.

NOTICE BEFORE SIGNING: IF SELLER HAS LEGAL QUESTIONS, SELLER IS ADVISED TO CONSULT A PENNSYLVANIA REAL ESTATE ATTORNEY.

SELLER		**DATE**	
SELLER		**DATE**	
SELLER		**DATE**	

BROKER (Company Name) ______________________________

ACCEPTED ON BEHALF OF BROKER BY ______________ **DATE** ______________

PROPERTY DESCRIPTION SHEET XLSA

This form recommended and approved for, but not restricted to use by, members of the Pennsylvania Association of REALTORS® (PAR).

SELLER: ______________________________

PROPERTY ADDRESS: ______________________________

____

TYPE/STYLE/CONSTRUCTION/EXTERIOR SURFACES: ______________________________

____

LOT SIZE: ______________________________ YEAR BUILT: ______________

FLOOR PLAN:

BASEMENT/GROUND LEVEL: ______________________________

____

FIRST LEVEL: ______________________________

____

____

SECOND LEVEL: ______________________________

____

____

THIRD LEVEL: ______________________________

____

FEATURES INCLUDED:

FLOORING

☐ Hardwood ______________ ☐ Carpeting ______________ ☐ Other ______________

KITCHEN

☐ Refrigerator ________ ☐ Dishwasher ________ ☐ Garbage Disposal ________ ☐ Trash Compactor ________

☐ Range/Oven and Fuel ______________ ☐ Microwave ________ ☐ Other ______________

LAUNDRY

☐ Facilities Hook Up ☐ Clothes Washer ☐ Clothes Dryer ☐ Tub ☐ Other ______________

OTHER FEATURES

☐ Window Treatment and Hardware ______________________________

☐ Chandeliers ______________ ☐ Smoke Detectors ______________

☐ Storm Door(s) ________ ☐ Storm Windows ________ ☐ Screens ________ ☐ Insulated Glass Windows ________

☐ Insulation ______________________________

ADDITIONAL ITEMS INCLUDED

☐ ______________________________

☐ ______________________________

PLUMBING

☐ Sump Pump ______________ ☐ Water Conditioner ______________

☐ ______________________________

HEATING AND COOLING

☐ Heating System, Fuel and Consumption ______________________________

☐ Fireplace, Wood/Coal Stove ______________________________

☐ Central Air Conditioning ______________ ☐ Air Conditioning Units ______________

☐ Domestic Water Heater Gal/Fuel ______________ ☐ Other ______________

Seller Initials: ________ ________

Pennsylvania Association of Realtors®

ELECTRIC

☐ TV Antenna ______ ☐ Cable TV ☐ Available ☐ Jacks ______

☐ Security System ______ ☐ Garage Opener(s) ______

☐ Service ______ AMP ☐ 220 Volt ______ ☐ Other ______

ROOF

☐ Type ______ ☐ Age ______ ☐ Not Documented

☐ Documented ______

EXTERIOR

☐ Porch ______ ☐ Patio ______ ☐ Deck ______

☐ Fencing ______ ☐ Landscaping ______

☐ Garage(s) ______ ☐ Outbuildings ______

☐ Pool ______ ☐ Other ______

ITEMS SPECIFICALLY EXCLUDED FROM A SALE AND PURCHASE PRICE ARE AS FOLLOWS:

______

______

______

______

TRANSPORTATION AND SHOPPING ______

LAND IMPROVEMENTS AND SERVICES

☐ Water	☐ Public	☐ Community Well ______	☐ Private Well ______
☐ Sewer	☐ Public	☐ On site (type) ______	
☐ Trash Collection	☐ Public	☐ Private	☐ Other ______
☐ Recycling	☐ Public	☐ Private	☐ Other ______
☐ Streets	☐ Public	☐ Common	☐ Private ______
☐ Driveways	☐ Public	☐ Common	☐ Private ______
☐ Sidewalks ______	☐ Alleys ______	☐ ______	

OCCUPIED BY: ☐ Owner ☐ Tenant ☐ Vacant

Unit: ______ Lease Term: ______ Expires: ______

Rent: $ ______ Rent Includes ______ Security Deposit $ ______

Tenant: ______ Phone #(s) ______

Unit: ______ Lease Term: ______ Expires: ______

Rent: $ ______ Rent Includes ______ Security Deposit $ ______

Tenant: ______ Phone #(s) ______

ADDITIONAL COMMENTS AND REMARKS:

______

SELLER ______ **DATE** ______

SELLER ______ **DATE** ______

SELLER ______ **DATE** ______

BROKER (COMPANY NAME) ______

ACCEPTED BY ______ **DATE** ______

Protect Your Family From Lead in Your Home

United States Environmental Protection Agency

United States Consumer Product Safety Commission

United States Department of Housing and Urban Development

September 2013

Are You Planning to Buy or Rent a Home Built Before 1978?

Did you know that many homes built before 1978 have **lead-based paint**? Lead from paint, chips, and dust can pose serious health hazards.

Read this entire brochure to learn:

- How lead gets into the body
- About health effects of lead
- What you can do to protect your family
- Where to go for more information

Before renting or buying a pre-1978 home or apartment, federal law requires:

- Sellers must disclose known information on lead-based paint or lead-based paint hazards before selling a house.
- Real estate sales contracts must include a specific warning statement about lead-based paint. Buyers have up to 10 days to check for lead.
- Landlords must disclose known information on lead-based paint and lead-based paint hazards before leases take effect. Leases must include a specific warning statement about lead-based paint.

If undertaking renovations, repairs, or painting (RRP) projects in your pre-1978 home or apartment:

- Read EPA's pamphlet, *The Lead-Safe Certified Guide to Renovate Right,* to learn about the lead-safe work practices that contractors are required to follow when working in your home (see page 12).

Simple Steps to Protect Your Family from Lead Hazards

If you think your home has lead-based paint:

- Don't try to remove lead-based paint yourself.
- Always keep painted surfaces in good condition to minimize deterioration.
- Get your home checked for lead hazards. Find a certified inspector or risk assessor at epa.gov/lead.
- Talk to your landlord about fixing surfaces with peeling or chipping paint.
- Regularly clean floors, window sills, and other surfaces.
- Take precautions to avoid exposure to lead dust when remodeling.
- When renovating, repairing, or painting, hire only EPA- or state-approved Lead-Safe certified renovation firms.
- Before buying, renting, or renovating your home, have it checked for lead-based paint.
- Consult your health care provider about testing your children for lead. Your pediatrician can check for lead with a simple blood test.
- Wash children's hands, bottles, pacifiers, and toys often.
- Make sure children avoid fatty (or high fat) foods and eat nutritious meals high in iron and calcium.
- Remove shoes or wipe soil off shoes before entering your house.

Lead Gets into the Body in Many Ways

Adults and children can get lead into their bodies if they:

- Breathe in lead dust (especially during activities such as renovations, repairs, or painting that disturb painted surfaces).
- Swallow lead dust that has settled on food, food preparation surfaces, and other places.
- Eat paint chips or soil that contains lead.

Lead is especially dangerous to children under the age of 6.

- At this age, children's brains and nervous systems are more sensitive to the damaging effects of lead.
- Children's growing bodies absorb more lead.
- Babies and young children often put their hands and other objects in their mouths. These objects can have lead dust on them.

Women of childbearing age should know that lead is dangerous to a developing fetus.

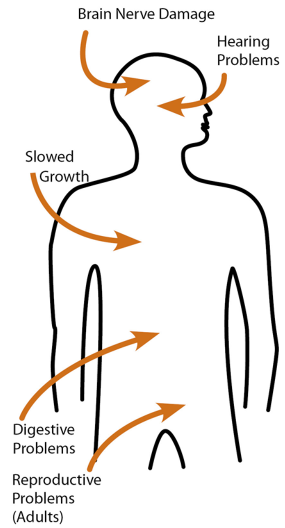
- Women with a high lead level in their system before or during pregnancy risk exposing the fetus to lead through the placenta during fetal development.

Health Effects of Lead

Lead affects the body in many ways. It is important to know that even exposure to low levels of lead can severely harm children.

In children, exposure to lead can cause:

- Nervous system and kidney damage
- Learning disabilities, attention deficit disorder, and decreased intelligence
- Speech, language, and behavior problems
- Poor muscle coordination
- Decreased muscle and bone growth
- Hearing damage



While low-lead exposure is most common, exposure to high amounts of lead can have devastating effects on children, including seizures, unconsciousness, and, in some cases, death.

Although children are especially susceptible to lead exposure, lead can be dangerous for adults, too.

In adults, exposure to lead can cause:

- Harm to a developing fetus
- Increased chance of high blood pressure during pregnancy
- Fertility problems (in men and women)
- High blood pressure
- Digestive problems
- Nerve disorders
- Memory and concentration problems
- Muscle and joint pain

Check Your Family for Lead

Get your children and home tested if you think your home has lead.

Children's blood lead levels tend to increase rapidly from 6 to 12 months of age, and tend to peak at 18 to 24 months of age.

Consult your doctor for advice on testing your children. A simple blood test can detect lead. Blood lead tests are usually recommended for:

- Children at ages 1 and 2
- Children or other family members who have been exposed to high levels of lead
- Children who should be tested under your state or local health screening plan

Your doctor can explain what the test results mean and if more testing will be needed.

Where Lead-Based Paint Is Found

In general, the older your home or childcare facility, the more likely it has lead-based paint.[1]

Many homes, including private, federally-assisted, federally-owned housing, and childcare facilities built before 1978 have lead-based paint. In 1978, the federal government banned consumer uses of lead-containing paint.[2]

Learn how to determine if paint is lead-based paint on page 7.

Lead can be found:

- In homes and childcare facilities in the city, country, or suburbs,
- In private and public single-family homes and apartments,
- On surfaces inside and outside of the house, and
- In soil around a home. (Soil can pick up lead from exterior paint or other sources, such as past use of leaded gas in cars.)

Learn more about where lead is found at epa.gov/lead.

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[1] "Lead-based paint" is currently defined by the federal government as paint with lead levels greater than or equal to 1.0 milligram per square centimeter (mg/cm), or more than 0.5% by weight.

[2] "Lead-containing paint" is currently defined by the federal government as lead in new dried paint in excess of 90 parts per million (ppm) by weight.

Identifying Lead-Based Paint and Lead-Based Paint Hazards

Deteriorating lead-based paint (peeling, chipping, chalking, cracking, or damaged paint) is a hazard and needs immediate attention. **Lead-based paint** may also be a hazard when found on surfaces that children can chew or that get a lot of wear and tear, such as:

- On windows and window sills
- Doors and door frames
- Stairs, railings, banisters, and porches

Lead-based paint is usually not a hazard if it is in good condition and if it is not on an impact or friction surface like a window.

Lead dust can form when lead-based paint is scraped, sanded, or heated. Lead dust also forms when painted surfaces containing lead bump or rub together. Lead paint chips and dust can get on surfaces and objects that people touch. Settled lead dust can reenter the air when the home is vacuumed or swept, or when people walk through it. EPA currently defines the following levels of lead in dust as hazardous:

- 40 micrograms per square foot ($\mu g/ft^2$) and higher for floors, including carpeted floors
- 250 $\mu g/ft^2$ and higher for interior window sills

Lead in soil can be a hazard when children play in bare soil or when people bring soil into the house on their shoes. EPA currently defines the following levels of lead in soil as hazardous:

- 400 parts per million (ppm) and higher in play areas of bare soil
- 1,200 ppm (average) and higher in bare soil in the remainder of the yard

Remember, lead from paint chips—which you can see—and lead dust—which you may not be able to see—both can be hazards.

The only way to find out if paint, dust, or soil lead hazards exist is to test for them. The next page describes how to do this.

Checking Your Home for Lead

You can get your home tested for lead in several different ways:

- A lead-based paint **inspection** tells you if your home has lead-based paint and where it is located. It won't tell you whether your home currently has lead hazards. A trained and certified testing professional, called a lead-based paint inspector, will conduct a paint inspection using methods, such as:
  - Portable x-ray fluorescence (XRF) machine
  - Lab tests of paint samples

- A **risk assessment** tells you if your home currently has any lead hazards from lead in paint, dust, or soil. It also tells you what actions to take to address any hazards. A trained and certified testing professional, called a risk assessor, will:
  - Sample paint that is deteriorated on doors, windows, floors, stairs, and walls
  - Sample dust near painted surfaces and sample bare soil in the yard
  - Get lab tests of paint, dust, and soil samples
- A combination inspection and risk assessment tells you if your home has any lead-based paint and if your home has any lead hazards, and where both are located.

Be sure to read the report provided to you after your inspection or risk assessment is completed, and ask questions about anything you do not understand.

Checking Your Home for Lead, continued

In preparing for renovation, repair, or painting work in a pre-1978 home, Lead-Safe Certified renovators (see page 12) may:

- Take paint chip samples to determine if lead-based paint is present in the area planned for renovation and send them to an EPA-recognized lead lab for analysis. In housing receiving federal assistance, the person collecting these samples must be a certified lead-based paint inspector or risk assessor
- Use EPA-recognized tests kits to determine if lead-based paint is absent (but not in housing receiving federal assistance)
- Presume that lead-based paint is present and use lead-safe work practices

There are state and federal programs in place to ensure that testing is done safely, reliably, and effectively. Contact your state or local agency for more information, visit epa.gov/lead, or call **1-800-424-LEAD (5323)** for a list of contacts in your area.[3]

[3] Hearing- or speech-challenged individuals may access this number through TTY by calling the Federal Relay Service at 1-800-877-8399.

What You Can Do Now to Protect Your Family

If you suspect that your house has lead-based paint hazards, you can take some immediate steps to reduce your family's risk:

- If you rent, notify your landlord of peeling or chipping paint.
- Keep painted surfaces clean and free of dust. Clean floors, window frames, window sills, and other surfaces weekly. Use a mop or sponge with warm water and a general all-purpose cleaner. (Remember: never mix ammonia and bleach products together because they can form a dangerous gas.)
- Carefully clean up paint chips immediately without creating dust.
- Thoroughly rinse sponges and mop heads often during cleaning of dirty or dusty areas, and again afterward.
- Wash your hands and your children's hands often, especially before they eat and before nap time and bed time.
- Keep play areas clean. Wash bottles, pacifiers, toys, and stuffed animals regularly.
- Keep children from chewing window sills or other painted surfaces, or eating soil.
- When renovating, repairing, or painting, hire only EPA- or state-approved Lead-Safe Certified renovation firms (see page 12).
- Clean or remove shoes before entering your home to avoid tracking in lead from soil.
- Make sure children avoid fatty (or high fat) foods and eat nutritious meals high in iron and calcium. Children with good diets absorb less lead.

Reducing Lead Hazards

Disturbing lead-based paint or removing lead improperly can increase the hazard to your family by spreading even more lead dust around the house.

- In addition to day-to-day cleaning and good nutrition, you can **temporarily** reduce lead-based paint hazards by taking actions, such as repairing damaged painted surfaces and planting grass to cover lead-contaminated soil. These actions are not permanent solutions and will need ongoing attention.
- You can minimize exposure to lead when renovating, repairing, or painting by hiring an EPA- or state-certified renovator who is trained in the use of lead-safe work practices. If you are a do-it-yourselfer, learn how to use lead–safe work practices in your home.
- To remove lead hazards permanently, you should hire a certified lead abatement contractor. Abatement (or permanent hazard elimination) methods include removing, sealing, or enclosing lead-based paint with special materials. Just painting over the hazard with regular paint is not permanent control.

Always use a certified contractor who is trained to address lead hazards safely.

- Hire a Lead-Safe Certified firm (see page 12) to perform renovation, repair, or painting (RRP) projects that disturb painted surfaces.
- To correct lead hazards permanently, hire a certified lead abatement professional. This will ensure your contractor knows how to work safely and has the proper equipment to clean up thoroughly.

Certified contractors will employ qualified workers and follow strict safety rules as set by their state or by the federal government.

Reducing Lead Hazards, continued

If your home has had lead abatement work done or if the housing is receiving federal assistance, once the work is completed, dust cleanup activities must be conducted until clearance testing indicates that lead dust levels are below the following levels:

- 40 micrograms per square foot ($\mu g/ft^2$) for floors, including carpeted floors
- 250 $\mu g/ft^2$ for interior windows sills
- 400 $\mu g/ft^2$ for window troughs

For help in locating certified lead abatement professionals in your area, call your state or local agency (see pages 14 and 15), or visit epa.gov/lead, or call 1-800-424-LEAD.

Renovating, Remodeling, or Repairing (RRP) a Home with Lead-Based Paint

If you hire a contractor to conduct renovation, repair, or painting (RRP) projects in your pre-1978 home or childcare facility (such as pre-school and kindergarten), your contractor must:

- Be a Lead-Safe Certified firm approved by EPA or an EPA-authorized state program
- Use qualified trained individuals (Lead-Safe Certified renovators) who follow specific lead-safe work practices to prevent lead contamination
- Provide a copy of EPA's lead hazard information document, *The Lead-Safe Certified Guide to Renovate Right*

RRP contractors working in pre-1978 homes and childcare facilities must follow lead-safe work practices that:

- **Contain the work area.** The area must be contained so that dust and debris do not escape from the work area. Warning signs must be put up, and plastic or other impermeable material and tape must be used.
- **Avoid renovation methods that generate large amounts of lead-contaminated dust.** Some methods generate so much lead-contaminated dust that their use is prohibited. They are:
  - Open-flame burning or torching
  - Sanding, grinding, planing, needle gunning, or blasting with power tools and equipment not equipped with a shroud and HEPA vacuum attachment and
  - Using a heat gun at temperatures greater than 1100°F
- **Clean up thoroughly.** The work area should be cleaned up daily. When all the work is done, the area must be cleaned up using special cleaning methods.
- **Dispose of waste properly.** Collect and seal waste in a heavy duty bag or sheeting. When transported, ensure that waste is contained to prevent release of dust and debris.

To learn more about EPA's requirements for RRP projects visit epa.gov/getleadsafe, or read *The Lead-Safe Certified Guide to Renovate Right.*

Other Sources of Lead

While paint, dust, and soil are the most common sources of lead, other lead sources also exist:

- **Drinking water.** Your home might have plumbing with lead or lead solder. You cannot see, smell, or taste lead, and boiling your water will not get rid of lead. If you think your plumbing might contain lead:
    - Use only cold water for drinking and cooking.
    - Run water for 15 to 30 seconds before drinking it, especially if you have not used your water for a few hours.

  Call your local health department or water supplier to find out about testing your water, or visit epa.gov/lead for EPA's lead in drinking water information.

- **Lead smelters** or other industries that release lead into the air.
- **Your job.** If you work with lead, you could bring it home on your body or clothes. Shower and change clothes before coming home. Launder your work clothes separately from the rest of your family's clothes.
- **Hobbies** that use lead, such as making pottery or stained glass, or refinishing furniture. Call your local health department for information about hobbies that may use lead.
- Old **toys** and **furniture** may have been painted with lead-containing paint. Older toys and other children's products may have parts that contain lead.[4]
- Food and liquids cooked or stored in **lead crystal** or **lead-glazed pottery or porcelain** may contain lead.
- Folk remedies, such as **"greta"** and **"azarcon,"** used to treat an upset stomach.

---

[4] In 1978, the federal government banned toys, other children's products, and furniture with lead-containing paint (16 CFR 1303). In 2008, the federal government banned lead in most children's products. The federal government currently bans lead in excess of 100 ppm by weight in most children's products (76 FR 44463).

For More Information

The National Lead Information Center
Learn how to protect children from lead poisoning and get other information about lead hazards on the Web at epa.gov/lead and hud.gov/lead, or call **1-800-424-LEAD (5323).**

EPA's Safe Drinking Water Hotline
For information about lead in drinking water, call **1-800-426-4791**, or visit epa.gov/lead for information about lead in drinking water.

Consumer Product Safety Commission (CPSC) Hotline
For information on lead in toys and other consumer products, or to report an unsafe consumer product or a product-related injury, call **1-800-638-2772,** or visit CPSC's website at cpsc.gov or saferproducts.gov.

State and Local Health and Environmental Agencies
Some states, tribes, and cities have their own rules related to lead-based paint. Check with your local agency to see which laws apply to you. Most agencies can also provide information on finding a lead abatement firm in your area, and on possible sources of financial aid for reducing lead hazards. Receive up-to-date address and phone information for your state or local contacts on the Web at epa.gov/lead, or contact the National Lead Information Center at **1-800-424-LEAD.**

Hearing- or speech-challenged individuals may access any of the phone numbers in this brochure through TTY by calling the toll-free Federal Relay Service at **1-800-877-8339**.

U. S. Environmental Protection Agency (EPA) Regional Offices

The mission of EPA is to protect human health and the environment. Your Regional EPA Office can provide further information regarding regulations and lead protection programs.

Region 1 (Connecticut, Massachusetts, Maine, New Hampshire, Rhode Island, Vermont)

Regional Lead Contact
U.S. EPA Region 1
5 Post Office Square, Suite 100, OES 05-4
Boston, MA 02109-3912
(888) 372-7341

Region 2 (New Jersey, New York, Puerto Rico, Virgin Islands)

Regional Lead Contact
U.S. EPA Region 2
2890 Woodbridge Avenue
Building 205, Mail Stop 225
Edison, NJ 08837-3679
(732) 321-6671

Region 3 (Delaware, Maryland, Pennsylvania, Virginia, DC, West Virginia)

Regional Lead Contact
U.S. EPA Region 3
1650 Arch Street
Philadelphia, PA 19103
(215) 814-2088

Region 4 (Alabama, Florida, Georgia, Kentucky, Mississippi, North Carolina, South Carolina, Tennessee)

Regional Lead Contact
U.S. EPA Region 4
AFC Tower, 12th Floor, Air, Pesticides & Toxics
61 Forsyth Street, SW
Atlanta, GA 30303
(404) 562-8998

Region 5 (Illinois, Indiana, Michigan, Minnesota, Ohio, Wisconsin)

Regional Lead Contact
U.S. EPA Region 5 (DT-8J)
77 West Jackson Boulevard
Chicago, IL 60604-3666
(312) 886-7836

Region 6 (Arkansas, Louisiana, New Mexico, Oklahoma, Texas, and 66 Tribes)

Regional Lead Contact
U.S. EPA Region 6
1445 Ross Avenue, 12th Floor
Dallas, TX 75202-2733
(214) 665-2704

Region 7 (Iowa, Kansas, Missouri, Nebraska)

Regional Lead Contact
U.S. EPA Region 7
11201 Renner Blvd.
WWPD/TOPE
Lenexa, KS 66219
(800) 223-0425

Region 8 (Colorado, Montana, North Dakota, South Dakota, Utah, Wyoming)

Regional Lead Contact
U.S. EPA Region 8
1595 Wynkoop St.
Denver, CO 80202
(303) 312-6966

Region 9 (Arizona, California, Hawaii, Nevada)

Regional Lead Contact
U.S. EPA Region 9 (CMD-4-2)
75 Hawthorne Street
San Francisco, CA 94105
(415) 947-4280

Region 10 (Alaska, Idaho, Oregon, Washington)

Regional Lead Contact
U.S. EPA Region 10
Solid Waste & Toxics Unit (WCM-128)
1200 Sixth Avenue, Suite 900
Seattle, WA 98101
(206) 553-1200

Consumer Product Safety Commission (CPSC)

The CPSC protects the public against unreasonable risk of injury from consumer products through education, safety standards activities, and enforcement. Contact CPSC for further information regarding consumer product safety and regulations.

CPSC
4330 East West Highway
Bethesda, MD 20814-4421
1-800-638-2772
cpsc.gov or saferproducts.gov

U. S. Department of Housing and Urban Development (HUD)

HUD's mission is to create strong, sustainable, inclusive communities and quality affordable homes for all. Contact HUD's Office of Healthy Homes and Lead Hazard Control for further information regarding the Lead Safe Housing Rule, which protects families in pre-1978 assisted housing, and for the lead hazard control and research grant programs.

HUD
451 Seventh Street, SW, Room 8236
Washington, DC 20410-3000
(202) 402-7698
hud.gov/offices/lead/

U. S. EPA Washington DC 20460
U. S. CPSC Bethesda MD 20814
U. S. HUD Washington DC 20410

EPA-747-K-12-001
September 2013

IMPORTANT!

Lead From Paint, Dust, and Soil in and Around Your Home Can Be Dangerous if Not Managed Properly

- Children under 6 years old are most at risk for lead poisoning in your home.

- Lead exposure can harm young children and babies even before they are born.

- Homes, schools, and child care facilities built before 1978 are likely to contain lead-based paint.

- Even children who seem healthy may have dangerous levels of lead in their bodies.

- Disturbing surfaces with lead-based paint or removing lead-based paint improperly can increase the danger to your family.

- People can get lead into their bodies by breathing or swallowing lead dust, or by eating soil or paint chips containing lead.

- People have many options for reducing lead hazards. Generally, lead-based paint that is in good condition is not a hazard (see page 10).

RESIDENTIAL LEAD-BASED PAINT HAZARDS DISCLOSURE FORM — LPD

This form recommended and approved for, but not restricted to use by, the members of the Pennsylvania Association of Realtors® (PAR)

THIS FORM MUST BE COMPLETED FOR ANY PROPERTY BUILT PRIOR TO 1978

PROPERTY ______________________________

SELLER ______________________________

LEAD WARNING STATEMENT

Every purchaser of any interest in residential real property on which a residential dwelling was built prior to 1978 is notified that such property may present exposure to lead from lead-based paint that may place young children at risk of developing lead poisoning. Lead poisoning in young children may produce permanent neurological damage, including learning disabilities, reduced intelligence quotient, behavioral problems, and impaired memory. Lead poisoning also poses a particular risk to pregnant women. The Seller of any interest in residential real property is required to provide the Buyer with any information on lead-based paint hazards from risk assessments or inspections in the Seller's possession and notify the Buyer of any known lead-based paint hazards. A risk assessment or inspection for possible lead-based paint hazards is recommended prior to purchase.

SELLER'S DISCLOSURE

____ / ____ **Seller has no knowledge** of the presence of lead-based paint and/or lead-based paint hazards in or about the Property.

____ / ____ **Seller has knowledge** of the presence of lead-based paint and/or lead-based paint hazards in or about the Property. (Provide the basis for determining that lead-based paint and/or hazards exist, the location(s), the condition of the painted surfaces, and other available information concerning Seller's knowledge of the presence of lead-based paint and/or lead-based paint hazards.)

____

SELLER'S RECORDS/REPORTS

____ / ____ **Seller has no records or reports** pertaining to lead-based paint and/or lead-based paint hazards in or about the Property.

____ / ____ **Seller has provided** Buyer with all available records and reports regarding lead-based paint and/or lead-based paint hazards in or about the Property. (List documents): ______________________________

____

Seller certifies that to the best of Seller's knowledge the above statements are true and accurate.

SELLER ______________________ **DATE** __________

SELLER ______________________ **DATE** __________

SELLER ______________________ **DATE** __________

BUYER ______________________________

DATE OF AGREEMENT ______________________________

BUYER'S ACKNOWLEDGMENT

____ / ____ Buyer has received the pamphlet *Protect Your Family from Lead in Your Home* and has read the Lead Warning Statement.

____ / ____ Buyer has reviewed Seller's disclosure of known lead-based paint and/or lead-based paint hazards and has received the records and reports regarding lead-based paint and/or lead-based paint hazards identified above.

Buyer has (initial one):

____ / ____ received a 10-day opportunity (or mutually agreed upon period) to conduct a risk assessment or inspection for the presence of lead-based paint and/or lead-based paint hazards; or

____ / ____ waived the opportunity to conduct a risk assessment or inspection for the presence of lead-based paint and/or lead-based paint hazards.

Buyer certifies that to the best of Buyer's knowledge the statements contained in Buyer's Acknowledgement are true and accurate.

BUYER ______________________ **DATE** __________

BUYER ______________________ **DATE** __________

BUYER ______________________ **DATE** __________

AGENT ACKNOWLEDGEMENT AND CERTIFICATION

________ Agent/Licensee represents that Agent has informed Seller of Seller's obligations under the Residential Lead-Based-Paint Hazard Reduction Act, 42 U.S.C. §4852(d), and is aware of Agent's responsibility to ensure compliance.

The following have reviewed the information above and certify that the Agent statements are true to the best of their knowledge and belief. **Seller Agent and Buyer Agent must both sign this form.**

BROKER FOR SELLER (Company Name) ______________________________

LICENSEE ______________________ **DATE** __________

BROKER FOR BUYER (Company Name) ______________________________

LICENSEE ______________________ **DATE** __________

Pennsylvania Association of Realtors®

SELLER'S ESTIMATED COSTS

SEC

PROPERTY ______________________________

SELLER ______________________________

BUYER ______________________________

SETTLEMENT DATE ____________________ **PURCHASE PRICE $** ____________________

1. Broker's Fee	$	
2. Preparation of Deed	$	
3. Transfer Tax	$	
4. Seller Concession: Closing Costs	$	
5. Seller Concession: Buyer Broker Fee	$	
6. Home Warranty	$	
7. Municipal Certification(s)	$	
8. Certificate of Resale (Condominium/Homeowner's Association)	$	
9. Settlement Fee	$	
10. Notary Fees	$	
11. Survey	$	
12. On-lot Sewage System Pumping	$	
13. Property Repairs	$	
14. Tax Certifications	$	
15. Overnight/Express Mail Charges	$	
16. Domestic Lien Search	$	
17. "Patriot Act" Search	**$**	
18. Other	$	
19. Other	$	
ESTIMATED COSTS (subtotal)	$	
Adjustments ☐☐ (+/-) (e.g., real estate taxes, association fees, utilities)	$	
TOTAL ESTIMATED COSTS/ADJUSTMENTS	$	.00
Purchase Price	$	.00
Total Estimated Costs/Adjustments (from above)	$	.00
ESTIMATED PROCEEDS (before loan payoffs)	$	.00
Seller's Estimate of Mortgages, Equity, and Other Loan Balances (including prepayment penalties), liens, assessments, etc.	$	
ESTIMATED NET PROCEEDS TO SELLER	$	.00

The estimated proceeds do not take into account any other undisclosed mortgage obligations, liens, assessments, judgments or other obligations levied against the Property or Seller.

Seller understands that the estimated costs stated above are based on the best information available at signing and may be higher or lower at settlement.

Seller understands and has received a copy of these estimated closing costs before signing the Agreement of Sale.

SELLER ____________________ **DATE** __________

SELLER ____________________ **DATE** __________

SELLER ____________________ **DATE** __________

BROKER (Company Name) ______________________________

PROVIDED BY (Licensee) ____________________ **DATE** __________

Pennsylvania Association of Realtors®

SELLER'S PROPERTY DISCLOSURE STATEMENT SPD

This form recommended and approved for, but not restricted to use by, the members of the Pennsylvania Association of Realtors® (PAR).

PROPERTY____

SELLER____

INFORMATION REGARDING THE REAL ESTATE SELLER DISCLOSURE LAW

The Real Estate Seller Disclosure Law (68 P.S. §7301, et seq.) requires that before an agreement of sale is signed, the seller in a residential real estate transfer must disclose all known **material defects** about the property being sold that are not readily observable. A **material defect** is a problem with a residential real property or any portion of it that would have a significant adverse impact on the value of the property or that involves an unreasonable risk to people on the property. The fact that a structural element, system or subsystem is at or beyond the end of its normal useful life is not by itself a material defect.

This property disclosure statement ("Statement") includes disclosures beyond the basic requirements of the Law and is designed to assist Seller in complying with disclosure requirements and to assist Buyer in evaluating the property being considered. Sellers who wish to see or use the basic disclosure form can find the form on the website of the Pennsylvania State Real Estate Commission. Neither this Statement nor the basic disclosure form limits Seller's obligation to disclose a material defect.

This Statement discloses Seller's knowledge of the condition of the Property as of the date signed by Seller and **is not a substitute for any inspections or warranties** that Buyer may wish to obtain. **This Statement is not a warranty of any kind by Seller or a warranty or representation by any listing real estate broker, any selling real estate broker, or their licensees.** Buyer is encouraged to address concerns about the condition of the Property that may not be included in this Statement.

The Law provides exceptions (listed below) where a property disclosure statement does not have to be completed. All other sellers are obligated to complete a property disclosure statement, even if they do not occupy or have never occupied the Property.

1. Transfers by a fiduciary during the administration of a decedent estate, guardianship, conservatorship or trust.
2. Transfers as a result of a court order.
3. Transfers to a mortgage lender that results from a buyer's default and subsequent foreclosure sales that result from default.
4. Transfers from a co-owner to one or more other co-owners.
5. Transfers made to a spouse or direct descendant.
6. Transfers between spouses as a result of divorce, legal separation or property settlement.
7. Transfers by a corporation, partnership or other association to its shareholders, partners or other equity owners as part of a plan of liquidation.
8. Transfers of a property to be demolished or converted to non-residential use.
9. Transfers of unimproved real property.
10. Transfers of new construction that has never been occupied and:
    a. The buyer has received a one-year warranty covering the construction;
    b. The building has been inspected for compliance with the applicable building code or, if none, a nationally recognized model building code; and
    c. A certificate of occupancy or a certificate of code compliance has been issued for the dwelling.

COMMON LAW DUTY TO DISCLOSE

Although the provisions of the Real Estate Seller Disclosure Law exclude some transfers from the requirement of completing a disclosure statement, the Law does not excuse the seller's common law duty to disclose any known material defect(s) of the Property in order to avoid fraud, misrepresentation or deceit in the transaction. **This duty continues until the date of settlement.**

EXECUTOR, ADMINISTRATOR, TRUSTEE SIGNATURE BLOCK

According to the provisions of the Real Estate Seller Disclosure Law, the undersigned executor, administrator or trustee is not required to fill out a Seller's Property Disclosure Statement. **The executor, administrator or trustee, must, however, disclose any known material defect(s) of the Property.**

	DATE____________

Pennsylvania Association of Realtors®

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

1. SELLER'S EXPERTISE

(A) Does Seller possess expertise in contracting, engineering, architecture, environmental assessment or other areas related to the construction and conditions of the Property and its improvements?

(B) Is Seller the landlord for the Property?

(C) Is Seller a real estate licensee?

Explain any "yes" answers in Section 1:____

____

	Yes	No	Unk	N/A
A	☐	☐		
B	☐	☐		
C	☐	☐		

2. OWNERSHIP/OCCUPANCY

(A) **Occupancy**

1. When was the Property most recently occupied? __________________________________
2. By how many people? ____
3. Was Seller the most recent occupant?
4. If "no," when did Seller most recently occupy the Property? ___________________________

(B) **Role of Individual Completing This Disclosure.** Is the individual completing this form:

1. The owner
2. The executor or administrator
3. The trustee
4. An individual holding power of attorney

(C) When was the Property acquired? ____

(D) List any animals that have lived in the residence(s) or other structures during your ownership: ______

____

	Yes	No	Unk	N/A
A1			☐	
A2			☐	
A3	☐	☐		
A4			☐	
B1	☐	☐		
B2	☐	☐		
B3	☐	☐		
B4	☐	☐		
C			☐	

Explain Section 2 (if needed): ____

____

3. CONDOMINIUMS/PLANNED COMMUNITIES/HOMEOWNERS ASSOCIATIONS

(A) Disclosures for condominiums and cooperatives are limited to Seller's particular unit(s). Disclosures regarding common areas or facilities are not required by the Real Estate Seller Disclosure Law.

(B) **Type.** Is the Property part of a(n):

1. Condominium
2. Homeowners association or planned community
3. Cooperative
4. Other type of association or community

(C) If "yes," how much are the fees? $____________, paid (☐Monthly) (☐Quarterly) (☐Yearly)

(D) If "yes," are there any community services or systems that the association or community is responsible for supporting or maintaining? Explain: ____

(E) If "yes," provide the following information:

1. Community Name ____
2. Contact____
3. Mailing Address____
4. Telephone Number ____

(F) How much is the capital contribution/initiation fee(s)? $ ________________________________

	Yes	No	Unk	N/A
B1	☐	☐	☐	
B2	☐	☐	☐	
B3	☐	☐	☐	
B4	☐	☐	☐	
C			☐	☐
D	☐	☐	☐	☐
E1			☐	☐
E2			☐	☐
E3			☐	☐
E4			☐	☐
F			☐	☐

Notice to Buyer: *A buyer of a resale unit in a condominium, cooperative, or planned community must receive a copy of the declaration (other than the plats and plans), the by-laws, the rules or regulations, and a certificate of resale issued by the association, condominium, cooperative, or planned community. Buyers may be responsible for capital contributions, initiation fees or similar one-time fees in addition to regular maintenance fees. The buyer will have the option of canceling the agreement with the return of all deposit monies until the certificate has been provided to the* ***buyer*** *and for five days thereafter or until conveyance, whichever occurs first.*

4. ROOFS AND ATTIC

(A) **Installation**

1. When was or were the roof or roofs installed? _______________________________________
2. Do you have documentation (invoice, work order, warranty, etc.)?

(B) **Repair**

1. Was the roof or roofs or any portion of it or them replaced or repaired during your ownership?
2. If it or they were replaced or repaired, were any existing roofing materials removed?

(C) **Issues**

1. Has the roof or roofs ever leaked during your ownership?
2. Have there been any other leaks or moisture problems in the attic?
3. Are you aware of any past or present problems with the roof(s), attic, gutters, flashing or downspouts?

	Yes	No	Unk	N/A
A1			☐	
A2	☐	☐		☐
B1	☐	☐	☐	
B2	☐	☐	☐	☐
C1	☐	☐	☐	
C2	☐	☐	☐	☐
C3	☐	☐		

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

Explain any "yes" answers in Section 4. Include the location and extent of any problem(s) and any repair or remediation efforts, the name of the person or company who did the repairs and the date they were done: ____________________

____

5. BASEMENTS AND CRAWL SPACES

		Yes	No	Unk	N/A
(A) Sump Pump					
1. Does the Property have a sump pit? If "yes," how many? ____________	A1	☐	☐	☐	
2. Does the Property have a sump pump? If "yes," how many? ____________	A2	☐	☐	☐	
3. If it has a sump pump, has it ever run?	A3	☐	☐	☐	☐
4. If it has a sump pump, is the sump pump in working order?	A4	☐	☐	☐	☐
(B) Water Infiltration					
1. Are you aware of any past or present water leakage, accumulation, or dampness within the basement or crawl space?	B1	☐	☐		☐
2. Do you know of any repairs or other attempts to control any water or dampness problem in the basement or crawl space?	B2	☐	☐		☐
3. Are the downspouts or gutters connected to a public sewer system?	B3	☐	☐	☐	

Explain any "yes" answers in Section 5. Include the location and extent of any problem(s) and any repair or remediation efforts, the name of the person or company who did the repairs and the date they were done: ____________________

____

____

6. TERMITES/WOOD-DESTROYING INSECTS, DRYROT, PESTS

		Yes	No	Unk	N/A
(A) Status					
1. Are you aware of past or present dryrot, termites/wood-destroying insects or other pests on the Property?	A1	☐	☐		
2. Are you aware of any damage caused by dryrot, termites/wood-destroying insects or other pests?	A2	☐	☐		
(B) Treatment					
1. Is the Property currently under contract by a licensed pest control company?	B1	☐	☐	☐	
2. Are you aware of any termite/pest control reports or treatments for the Property?	B2	☐	☐		

Explain any "yes" answers in Section 6. Include the name of any service/treatment provider, if applicable: ____________

____

7. STRUCTURAL ITEMS

		Yes	No	Unk	N/A
(A) Are you aware of any past or present movement, shifting, deterioration, or other problems with walls, foundations or other structural components?	A	☐	☐		
(B) Are you aware of any past or present problems with driveways, walkways, patios or retaining walls on the Property?	B	☐	☐		☐
(C) Are you aware of any past or present water infiltration in the house or other structures, other than the roof(s), basement or crawl space(s)?	C	☐	☐		
(D) **Stucco and Exterior Synthetic Finishing Systems**					
1. Is any part of the Property constructed with stucco or an Exterior Insulating Finishing System (EIFS) such as Dryvit or synthetic stucco, synthetic brick or synthetic stone?	D1	☐	☐	☐	
2. If "yes," indicate type(s) and location(s) ____________	D2			☐	☐
3. If "yes," provide date(s) installed ____________	D3			☐	☐
(E) Are you aware of any fire, storm/weather-related, water, hail or ice damage to the Property?	E	☐	☐		
(F) Are you aware of any defects (including stains) in flooring or floor coverings?	F	☐	☐		

Explain any "yes" answers in Section 7. Include the location and extent of any problem(s) and any repair or remediation efforts, the name of the person or company who did the repairs and the date the work was done: ____________________

____

8. ADDITIONS/ALTERATIONS

		Yes	No	Unk	N/A
(A) Have any additions, structural changes or other alterations (including remodeling) been made to the Property during your ownership? Itemize and date all additions/alterations below.	A	☐	☐	☐	

Addition, structural change or alteration (continued on following page)	Approximate date of work	Were permits obtained? (Yes/No/Unk/NA)	Final inspections/ approvals obtained? (Yes/No/Unk/NA)

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

Addition, structural change or alteration	Approximate date of work	Were permits obtained? (Yes/No/Unk/NA)	Final inspections/ approvals obtained? (Yes/No/Unk/NA)

☐ **A sheet describing other additions and alterations is attached.**

		Yes	No	Unk	N/A
(B) Are you aware of any private or public architectural review control of the Property other than zoning codes? If "yes," explain: ______	B	☐	☐		

Note to Buyer: *The PA Construction Code Act, 35 P.S. §7210 et seq. (effective 2004), and local codes establish standards for building and altering properties. Buyers should check with the municipality to determine if permits and/or approvals were necessary for disclosed work and if so, whether they were obtained. Where required permits were not obtained, the municipality might require the current owner to upgrade or remove changes made by the prior owners. Buyers can have the Property inspected by an expert in codes compliance to determine if issues exist. Expanded title insurance policies may be available for Buyers to cover the risk of work done to the Property by previous owners without a permit or approval.*

Note to Buyer: *According to the PA Stormwater Management Act, each municipality must enact a Storm Water Management Plan for drainage control and flood reduction. The municipality where the Property is located may impose restrictions on impervious or semi-pervious surfaces added to the Property. Buyers should contact the local office charged with overseeing the Stormwater Management Plan to determine if the prior addition of impervious or semi-pervious areas, such as walkways, decks, and swimming pools, might affect your ability to make future changes.*

9. WATER SUPPLY

		Yes	No	Unk	N/A
(A) **Source.** Is the source of your drinking water (check all that apply):					
1. Public	A1	☐	☐	☐	
2. A well on the Property	A2	☐	☐	☐	
3. Community water	A3	☐	☐	☐	
4. A holding tank	A4	☐	☐	☐	
5. A cistern	A5	☐	☐	☐	
6. A spring	A6	☐	☐	☐	
7. Other ______	A7	☐	☐	☐	
8. If no water service, explain: ______					
(B) **General**					
1. When was the water supply last tested? ______	B1			☐	☐
Test results: ______				☐	☐
2. Is the water system shared?	B2	☐	☐	☐	☐
3. If "yes," is there a written agreement?	B3	☐	☐	☐	☐
4. Do you have a softener, filter or other conditioning system?	B4	☐	☐	☐	☐
5. Is the softener, filter or other treatment system leased? From whom? ______	B5	☐	☐	☐	☐
6. If your drinking water source is not public, is the pumping system in working order? If "no," explain: ______	B6	☐	☐	☐	☐
(C) **Bypass Valve** (for properties with multiple sources of water)					
1. Does your water source have a bypass valve?	C1	☐	☐	☐	☐
2. If "yes," is the bypass valve working?	C2	☐	☐	☐	☐
(D) **Well**					
1. Has your well ever run dry?	D1	☐	☐	☐	☐
2. Depth of well ______	D2			☐	☐
3. Gallons per minute: ______, measured on (date) ______	D3			☐	☐
4. Is there a well that is used for something other than the primary source of drinking water?	D4	☐	☐	☐	
If "yes," explain ______					☐
5. If there is an unused well, is it capped?	D5	☐	☐	☐	☐

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

		Yes	No	Unk	N/A
(E) **Issues**					
1. Are you aware of any leaks or other problems, past or present, relating to the water supply, pumping system and related items?	E1	☐	☐		☐
2. Have you ever had a problem with your water supply?	E2	☐	☐	☐	☐

Explain any problem(s) with your water supply. Include the location and extent of any problem(s) and any repair or remediation efforts, the name of the person or company who did the repairs and the date the work was done:_____________________

____

10. SEWAGE SYSTEM

		Yes	No	Unk	N/A
(A) **General**					
1. Is the Property served by a sewage system (public, private or community)?	A1	☐	☐	☐	
2. If “no,” is it due to unavailability or permit limitations?	A2	☐	☐	☐	☐
3. When was the sewage system installed (or date of connection, if public)? __________	A3			☐	☐
4. Name of current service provider, if any: __________	A4			☐	☐
(B) **Type** Is your Property served by:					
1. Public	B1	☐	☐	☐	
2. Community (non-public)	B2	☐	☐	☐	
3. An individual on-lot sewage disposal system	B3	☐	☐	☐	
4. Other, explain: __________	B4	☐	☐	☐	
(C) **Individual On-lot Sewage Disposal System**. (check all that apply):					
1. Is your sewage system within 100 feet of a well?	C1	☐	☐	☐	☐
2. Is your sewage system subject to a ten-acre permit exemption?	C2	☐	☐	☐	☐
3. Does your sewage system include a holding tank?	C3	☐	☐	☐	☐
4. Does your sewage system include a septic tank?	C4	☐	☐	☐	☐
5. Does your sewage system include a drainfield?	C5	☐	☐	☐	☐
6. Does your sewage system include a sandmound?	C6	☐	☐	☐	☐
7. Does your sewage system include a cesspool?	C7	☐	☐	☐	☐
8. Is your sewage system shared?	C8	☐	☐	☐	☐
9. Is your sewage system any other type? Explain: __________	C9	☐	☐	☐	☐
10. Is your sewage system supported by a backup or alternate system?	C10	☐	☐	☐	☐
(D) **Tanks and Service**					
1. Are there any metal/steel septic tanks on the Property?	D1	☐	☐	☐	
2. Are there any cement/concrete septic tanks on the Property?	D2	☐	☐	☐	
3. Are there any fiberglass septic tanks on the Property?	D3	☐	☐	☐	
4. Are there any other types of septic tanks on the Property? Explain __________	D4	☐	☐	☐	
5. Where are the septic tanks located? __________	D5			☐	☐
6. When were the tanks last pumped and by whom? __________ __________	D6			☐	☐
(E) **Abandoned Individual On-lot Sewage Disposal Systems and Septic**					
1. Are you aware of any abandoned septic systems or cesspools on the Property?	E1	☐	☐		
2. If "yes," have these systems, tanks or cesspools been closed in accordance with the municipality’s ordinance?	E2	☐	☐	☐	☐
(F) **Sewage Pumps**					
1. Are there any sewage pumps located on the Property?	F1	☐	☐	☐	
2. If "yes," where are they located? __________	F2			☐	☐
3. What type(s) of pump(s)? __________	F3			☐	☐
4. Are pump(s) in working order?	F4	☐	☐	☐	☐
5. Who is responsible for maintenance of sewage pumps? __________ __________	F5			☐	☐
(G) **Issues**					
1. How often is the on-lot sewage disposal system serviced? __________	G1			☐	☐
2. When was the on-lot sewage disposal system last serviced and by whom? __________ __________	G2			☐	☐
3. Is any waste water piping not connected to the septic/sewer system?	G3	☐	☐	☐	☐
4. Are you aware of any past or present leaks, backups, or other problems relating to the sewage system and related items?	G4	☐	☐		☐

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

Explain any "yes" answers in Section 10. Include the location and extent of any problem(s) and any repair or remediation efforts, the name of the person or company who did the repairs and the date the work was done: ______________________

____

11. PLUMBING SYSTEM

		Yes	No	Unk	N/A
(A) **Material(s).** Are the plumbing materials (check all that apply):					
1. Copper	A1	☐	☐	☐	
2. Galvanized	A2	☐	☐	☐	
3. Lead	A3	☐	☐	☐	
4. PVC	A4	☐	☐	☐	
5. Polybutylene pipe (PB)	A5	☐	☐	☐	
6. Cross-linked polyethyline (PEX)	A6	☐	☐	☐	
7. Other ______________________	A7	☐	☐	☐	
(B) Are you aware of any past or present problems with any of your plumbing fixtures (e.g., including but not limited to: kitchen, laundry, or bathroom fixtures; wet bars; exterior faucets; etc.)?	B	☐	☐		

If “yes,” explain: ____

____

12. DOMESTIC WATER HEATING

		Yes	No	Unk	N/A
(A) **Type(s).** Is your water heating (check all that apply):					
1. Electric	A1	☐	☐	☐	
2. Natural gas	A2	☐	☐	☐	
3. Fuel oil	A3	☐	☐	☐	
4. Propane	A4	☐	☐	☐	
If "yes," is the tank owned by Seller?		☐	☐	☐	☐
5. Solar	A5	☐	☐	☐	
If "yes," is the system owned by Seller?		☐	☐	☐	☐
6. Geothermal	A6	☐	☐	☐	
7. Other ______________________	A7	☐	☐	☐	
(B) **System(s)**					
1. How many water heaters are there? ______________	B1			☐	☐
Tanks __________ Tankless__________					
2. When were they installed?______________	B2			☐	☐
3. Is your water heater a summer/winter hook-up (integral system, hot water from the boiler, etc.)?	B3	☐	☐	☐	
(C) Are you aware of any problems with any water heater or related equipment?	C	☐	☐		

If “yes,” explain: ____

____

13. HEATING SYSTEM

		Yes	No	Unk	N/A
(A) **Fuel Type(s).** Is your heating source (check all that apply):					
1. Electric	A1	☐	☐	☐	
2. Natural gas	A2	☐	☐	☐	
3. Fuel oil	A3	☐	☐	☐	
4. Propane	A4	☐	☐	☐	
If "yes," is the tank owned by Seller?		☐	☐	☐	☐
5. Geothermal	A5	☐	☐	☐	
6. Coal	A6	☐	☐	☐	
7. Wood	A7	☐	☐	☐	
8. Solar shingles or panels	A8	☐	☐	☐	
If "yes," is the system owned by Seller?		☐	☐	☐	☐
9. Other: ______________________	A9	☐	☐	☐	
(B) **System Type(s)** (check all that apply):					
1. Forced hot air	B1	☐	☐	☐	
2. Hot water	B2	☐	☐	☐	
3. Heat pump	B3	☐	☐	☐	
4. Electric baseboard	B4	☐	☐	☐	
5. Steam	B5	☐	☐	☐	
6. Radiant flooring	B6	☐	☐	☐	
7. Radiant ceiling	B7	☐	☐	☐	

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

		Yes	No	Unk	N/A
8. Pellet stove(s)	B8	☐	☐	☐	
How many and location? ______				☐	☐
9. Wood stove(s)	B9	☐	☐	☐	
How many and location? ______				☐	☐
10. Coal stove(s)	B10	☐	☐	☐	
How many and location? ______				☐	☐
11. Wall-mounted split system(s)	B11	☐	☐	☐	
How many and location? ______				☐	☐
12. Other: ______	B12	☐	☐	☐	
13. If multiple systems, provide locations ______	B13			☐	☐
(C) **Status**					
1. Are there any areas of the house that are not heated?	C1	☐	☐	☐	
If "yes," explain: ______					☐
2. How many heating zones are in the Property? ______	C2			☐	☐
3. When was each heating system(s) or zone installed? ______	C3			☐	☐
4. When was the heating system(s) last serviced? ______	C4			☐	☐
5. Is there an additional and/or backup heating system? If "yes," explain: ______	C5	☐	☐	☐	
6. Is any part of the heating system subject to a lease, financing or other agreement?	C6	☐	☐	☐	☐
If "yes," explain: ______					☐
(D) **Fireplaces and Chimneys**					
1. Are there any fireplaces? How many? ______	D1	☐	☐	☐	
2. Are all fireplaces working?	D2	☐	☐	☐	☐
3. Fireplace types (wood, gas, electric, etc.): ______	D3			☐	☐
4. Was the fireplace(s) installed by a professional contractor or manufacturer's representative?	D4	☐	☐	☐	☐
5. Are there any chimneys (from a fireplace, water heater or any other heating system)?	D5	☐	☐	☐	
6. How many chimneys? ______	D6			☐	☐
7. When were they last cleaned? ______	D7			☐	☐
8. Are the chimneys working? If "no," explain: ______	D8	☐	☐	☐	☐
(E) **Fuel Tanks**					
1. Are you aware of any heating fuel tank(s) on the Property?	E1	☐	☐		
2. Location(s), including underground tank(s): ______	E2			☐	☐
3. If you do not own the tank(s), explain: ______	E3			☐	☐
(F) **Are you aware of any problems or repairs needed regarding any item in Section 13? If "yes," explain:** ______	F	☐	☐		
14. AIR CONDITIONING SYSTEM					
(A) **Type(s)**. Is the air conditioning (check all that apply):					
1. Central air	A1	☐	☐	☐	
a. How many air conditioning zones are in the Property? ______	1a			☐	☐
b. When was each system or zone installed? ______	1b			☐	☐
c. When was each system last serviced? ______	1c			☐	☐
2. Wall units	A2	☐	☐	☐	
How many and the location? ______				☐	☐
3. Window units	A3	☐	☐	☐	
How many? ______				☐	☐
4. Wall-mounted split units	A4	☐	☐	☐	
How many and the location? ______				☐	☐
5. Other ______	A5	☐	☐	☐	
6. None	A6	☐	☐	☐	
(B) Are there any areas of the house that are not air conditioned?	B	☐	☐	☐	
If "yes," explain: ______					☐
(C) **Are you aware of any problems with any item in Section 14? If "yes," explain:** ______	C	☐	☐		

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

15. ELECTRICAL SYSTEM

(A) **Type(s)**

1. Does the electrical system have fuses?
2. Does the electrical system have circuit breakers?
3. Is the electrical system solar powered?
    a. If "yes," is it entirely or partially solar powered? ____________
    b. If "yes," is any part of the system subject to a lease, financing or other agreement? If "yes," explain: ____________

(B) What is the system amperage? ____________

(C) Are you aware of any knob and tube wiring in the Property?

(D) Are you aware of any problems or repairs needed in the electrical system? If "yes," explain: ____________

	Yes	No	Unk	N/A
A1	☐	☐	☐	
A2	☐	☐	☐	
A3	☐	☐	☐	
3a			☐	☐
3b	☐	☐	☐	☐
B			☐	☐
C	☐	☐		
D	☐	☐		

16. OTHER EQUIPMENT AND APPLIANCES

(A) **THIS SECTION IS INTENDED TO IDENTIFY PROBLEMS OR REPAIRS** and must be completed for each item that will, or may, be included with the Property. The terms of the Agreement of Sale negotiated between Buyer and Seller will determine which items, if any, are included in the purchase of the Property. **THE FACT THAT AN ITEM IS LISTED DOES NOT MEAN IT IS INCLUDED IN THE AGREEMENT OF SALE.**

(B) Are you aware of any problems or repairs needed to any of the following:

Item	Yes	No	N/A		Item	Yes	No	N/A
A/C window units	☐	☐	☐		Pool/spa heater	☐	☐	☐
Attic fan(s)	☐	☐	☐		Range/oven	☐	☐	☐
Awnings	☐	☐	☐		Refrigerator(s)	☐	☐	☐
Carbon monoxide detectors	☐	☐	☐		Satellite dish	☐	☐	☐
Ceiling fans	☐	☐	☐		Security alarm system	☐	☐	☐
Deck(s)	☐	☐	☐		Smoke detectors	☐	☐	☐
Dishwasher	☐	☐	☐		Sprinkler automatic timer	☐	☐	☐
Dryer	☐	☐	☐		Stand-alone freezer	☐	☐	☐
Electric animal fence	☐	☐	☐		Storage shed	☐	☐	☐
Electric garage door opener	☐	☐	☐		Trash compactor	☐	☐	☐
Garage transmitters	☐	☐	☐		Washer	☐	☐	☐
Garbage disposal	☐	☐	☐		Whirlpool/tub	☐	☐	☐
In-ground lawn sprinklers	☐	☐	☐		Other:	☐	☐	☐
Intercom	☐	☐	☐		1.	☐	☐	☐
Interior fire sprinklers	☐	☐	☐		2.	☐	☐	☐
Keyless entry	☐	☐	☐		3.	☐	☐	☐
Microwave oven	☐	☐	☐		4.	☐	☐	☐
Pool/spa accessories	☐	☐	☐		5.	☐	☐	☐
Pool/spa cover	☐	☐	☐		6.	☐	☐	☐

(C) Explain any "yes" answers in Section 16: ____________

17. POOLS, SPAS AND HOT TUBS

(A) Is there a swimming pool on the Property? If "yes,":

1. Above-ground or in-ground? ____________
2. Saltwater or chlorine? ____________
3. If heated, what is the heat source? ____________
4. Vinyl-lined, fiberglass or concrete-lined? ____________
5. What is the depth of the swimming pool? ____________
6. Are you aware of any problems with the swimming pool?
7. Are you aware of any problems with any of the swimming pool equipment (cover, filter, ladder, lighting, pump, etc.)?

(B) Is there a spa or hot tub on the Property?

1. Are you aware of any problems with the spa or hot tub?
2. Are you aware of any problems with any of the spa or hot tub equipment (steps, lighting, jets, cover, etc.)?

(C) Explain any problems in Section 17: ____________

	Yes	No	Unk	N/A
A	☐	☐	☐	
A1			☐	☐
A2			☐	☐
A3			☐	☐
A4			☐	☐
A5			☐	☐
A6	☐	☐		☐
A7	☐	☐		☐
B	☐	☐	☐	
B1	☐	☐		☐
B2	☐	☐		☐

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

18. WINDOWS

(A) Have any windows or skylights been replaced during your ownership of the Property?

(B) Are you aware of any problems with the windows or skylights?

	Yes	No	Unk	N/A
A	☐	☐	☐	
B	☐	☐		

Explain any "yes" answers in Section 18. Include the location and extent of any problem(s) and any repair, replacement or remediation efforts, the name of the person or company who did the repairs and the date the work was done:______________

____

19. LAND/SOILS

(A) **Property**

1. Are you aware of any fill or expansive soil on the Property?
2. Are you aware of any sliding, settling, earth movement, upheaval, subsidence, sinkholes or earth stability problems that have occurred on or affect the Property?
3. Are you aware of sewage sludge (other than commercially available fertilizer products) being spread on the Property?
4. Have you received written notice of sewage sludge being spread on an adjacent property?
5. Are you aware of any existing, past or proposed mining, strip-mining, or any other excavations on the Property?

	Yes	No	Unk	N/A
A1	☐	☐		
A2	☐	☐		
A3	☐	☐		
A4	☐	☐	☐	
A5	☐	☐		

Note to Buyer: *The Property may be subject to mine subsidence damage. Maps of the counties and mines where mine subsidence damage may occur and further information on mine subsidence insurance are available through* Department of Environmental Protection Mine Subsidence Insurance Fund, (800) 922-1678 or ra-epmsi@pa.gov.

(B) **Preferential Assessment and Development Rights**

Is the Property, or a portion of it, preferentially assessed for tax purposes, or subject to limited development rights under the:

1. Farmland and Forest Land Assessment Act - 72 P.S.§5490.1, et seq. (Clean and Green Program)
2. Open Space Act - 16 P.S. §11941, et seq.
3. Agricultural Area Security Law - 3 P.S. §901, et seq. (Development Rights)
4. Any other law/program:____

	Yes	No	Unk	N/A
B1	☐	☐	☐	
B2	☐	☐	☐	
B3	☐	☐	☐	
B4	☐	☐	☐	

Note to Buyer: *Pennsylvania has enacted the Right to Farm Act (3 P.S. § 951-957) in an effort to limit the circumstances under which agricultural operations may be subject to nuisance suits or ordinances. Buyers are encouraged to investigate whether any agricultural operations covered by the Act operate in the vicinity of the Property.*

(C) **Property Rights**

Are you aware of the transfer, sale and/or lease of any of the following property rights (by you or a previous owner of the Property):

1. Timber
2. Coal
3. Oil
4. Natural gas
5. Mineral or other rights (such as farming rights, hunting rights, quarrying rights) Explain:

____

	Yes	No	Unk	N/A
C1	☐	☐		
C2	☐	☐		
C3	☐	☐		
C4	☐	☐		
C5	☐	☐		

Note to Buyer: *Before entering into an agreement of sale, Buyer can investigate the status of these rights by, among other means, engaging legal counsel, obtaining a title examination of unlimited years and searching the official records in the county Office of the Recorder of Deeds, and elsewhere. Buyer is also advised to investigate the terms of any existing leases, as Buyer may be subject to terms of those leases.*

Explain any "yes" answers in Section 19: ____

____

20. FLOODING, DRAINAGE AND BOUNDARIES

(A) **Flooding/Drainage**

1. Is any part of this Property located in a wetlands area?
2. Is the Property, or any part of it, designated a Special Flood Hazard Area (SFHA)?
3. Do you maintain flood insurance on this Property?
4. Are you aware of any past or present drainage or flooding problems affecting the Property?
5. Are you aware of any drainage or flooding mitigation on the Property?
6. Are you aware of the presence on the Property of any man-made feature that temporarily or permanently conveys or manages storm water, including any basin, pond, ditch, drain, swale, culvert, pipe or other feature?
7. If "yes," are you responsible for maintaining or repairing that feature which conveys or manages storm water for the Property?

	Yes	No	Unk	N/A
A1	☐	☐	☐	
A2	☐	☐	☐	
A3	☐	☐	☐	
A4	☐	☐		
A5	☐	☐		
A6	☐	☐		
A7	☐	☐		☐

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

Explain any "yes" answers in Section 20(A). Include dates, the location and extent of flooding and the condition of any man-made storm water management features: ______________________________

(B) **Boundaries**		Yes	No	Unk	N/A
1. Are you aware of encroachments, boundary line disputes, or easements affecting the Property?	B1	☐	☐		
2. Is the Property accessed directly (without crossing any other property) by or from a public road?	B2	☐	☐	☐	
3. Can the Property be accessed from a private road or lane?	B3	☐	☐	☐	
a. If "yes," is there a written right of way, easement or maintenance agreement?	3a	☐	☐	☐	☐
b. If "yes," has the right of way, easement or maintenance agreement been recorded?	3b	☐	☐	☐	☐
4. Are you aware of any shared or common areas (driveways, bridges, docks, walls, etc.) or maintenance agreements?	B4	☐	☐		

***Note to Buyer:** Most properties have easements running across them for utility services and other reasons. In many cases, the easements do not restrict the ordinary use of the property, and Seller may not be readily aware of them. Buyers may wish to determine the existence of easements and restrictions by examining the property and ordering an Abstract of Title or searching the records in the Office of the Recorder of Deeds for the county before entering into an agreement of sale.*

Explain any "yes" answers in Section 20(B): ______________________________

21. HAZARDOUS SUBSTANCES AND ENVIRONMENTAL ISSUES

(A) **Mold and Indoor Air Quality (other than radon)**		Yes	No	Unk	N/A
1. Are you aware of any tests for mold, fungi, or indoor air quality in the Property?	A1	☐	☐		
2. Other than general household cleaning, have you taken any efforts to control or remediate mold or mold-like substances in the Property?	A2	☐	☐	☐	

***Note to Buyer:** Individuals may be affected differently, or not at all, by mold contamination. If mold contamination or indoor air quality is a concern, buyers are encouraged to engage the services of a qualified professional to do testing. Information on this issue is available from the United States Environmental Protection Agency and may be obtained by contacting IAQ INFO, P.O. Box 37133, Washington, D.C. 20013-7133, 1-800-438-4318.*

(B) **Radon**		Yes	No	Unk	N/A
1. Are you aware of any tests for radon gas that have been performed in any buildings on the Property?	B1	☐	☐		
2. If "yes," provide test date and results ______________	B2			☐	☐
3. Are you aware of any radon removal system on the Property?	B3	☐	☐		
(C) **Lead Paint**					
If the Property was constructed, or if construction began, before 1978, you must disclose any knowledge of, and records and reports about, lead-based paint on the Property on a separate disclosure form.					
1. Are you aware of any lead-based paint or lead-based paint hazards on the Property?	C1	☐	☐		
2. Are you aware of any reports or records regarding lead-based paint or lead-based paint hazards on the Property?	C2	☐	☐		
(D) **Tanks**					
1. Are you aware of any existing underground tanks?	D1	☐	☐		
2. Are you aware of any underground tanks that have been removed or filled?	D2	☐	☐		
(E) **Dumping.** Has any portion of the Property been used for waste or refuse disposal or storage?	E	☐	☐	☐	
If "yes," location: ______________				☐	☐
(F) **Other**					
1. Are you aware of any past or present hazardous substances on the Property (structure or soil) such as, but not limited to, asbestos or polychlorinated biphenyls (PCBs)?	F1	☐	☐		
2. Are you aware of any other hazardous substances or environmental concerns that may affect the Property?	F2	☐	☐		
3. If "yes," have you received written notice regarding such concerns?	F3	☐	☐		☐
4. Are you aware of testing on the Property for any other hazardous substances or environmental concerns?	F4	☐	☐		

Explain any "yes" answers in Section 21. Include test results and the location of the hazardous substance(s) or environmental issue(s): ______________________________

22. MISCELLANEOUS

(A) **Deeds, Restrictions and Title**		Yes	No	Unk	N/A
1. Are there any deed restrictions or restrictive covenants that apply to the Property?	A1	☐	☐	☐	
2. Are you aware of any historic preservation restriction or ordinance or archeological designation associated with the Property?	A2	☐	☐		

Check yes, no, unknown (unk) or not applicable (N/A) for each question. Be sure to check N/A when a question does not apply to the Property. Check unknown when the question does apply to the Property but you are not sure of the answer. All questions must be answered.

Question		Yes	No	Unk	N/A
3. Are you aware of any reason, including a defect in title or contractual obligation such as an option or right of first refusal, that would prevent you from giving a warranty deed or conveying title to the Property?	A3	☐	☐		
(B) **Financial**					
1. Are you aware of any public improvement, condominium or homeowner association assessments against the Property that remain unpaid or of any violations of zoning, housing, building, safety or fire ordinances or other use restriction ordinances that remain uncorrected?	B1	☐	☐		
2. Are you aware of any mortgages, judgments, encumbrances, liens, overdue payments on a support obligation, or other debts against this Property or Seller that cannot be satisfied by the proceeds of this sale?	B2	☐	☐		
3. Are you aware of any insurance claims filed relating to the Property during your ownership?	B3	☐	☐		
(C) **Legal**					
1. Are you aware of any violations of federal, state, or local laws or regulations relating to this Property?	C1	☐	☐		
2. Are you aware of any existing or threatened legal action affecting the Property?	C2	☐	☐		
(D) **Additional Material Defects**					
1. Are you aware of any material defects to the Property, dwelling, or fixtures which are not disclosed elsewhere on this form?	D1	☐	☐		

Note to Buyer: *A material defect is a problem with a residential real property or any portion of it that would have a significant adverse impact on the value of the property or that involves an unreasonable risk to people on the property. The fact that a structural element, system or subsystem is at or beyond the end of the normal useful life of such a structural element, system or subsystem is not by itself a material defect.*

2. **After completing this form, if Seller becomes aware of additional information about the Property, including through inspection reports from a buyer, the Seller must update the Seller's Property Disclosure Statement and/or attach the inspection report(s).** These inspection reports are for informational purposes only.

Explain any "yes" answers in Section 22: ______________________________

____

23. ATTACHMENTS

(A) **The following are part of this Disclosure if checked:**

☐ Seller's Property Disclosure Statement Addendum (PAR Form SDA)

☐ ______________________________

☐ ______________________________

☐ ______________________________

The undersigned Seller represents that the information set forth in this disclosure statement is accurate and complete to the best of Seller's knowledge. Seller hereby authorizes the Listing Broker to provide this information to prospective buyers of the property and to other real estate licensees. SELLER ALONE IS RESPONSIBLE FOR THE ACCURACY OF THE INFORMATION CONTAINED IN THIS STATEMENT. If any information supplied on this form becomes inaccurate following completion of this form, Seller shall notify Buyer in writing.

SELLER ______________________________ **DATE** ____________

SELLER ______________________________ **DATE** ____________

SELLER ______________________________ **DATE** ____________

SELLER ______________________________ **DATE** ____________

SELLER ______________________________ **DATE** ____________

SELLER ______________________________ **DATE** ____________

RECEIPT AND ACKNOWLEDGEMENT BY BUYER

The undersigned Buyer acknowledges receipt of this Statement. Buyer acknowledges that this Statement is not a warranty and that, unless stated otherwise in the sales contract, Buyer is purchasing this property in its present condition. It is Buyer's responsibility to satisfy himself or herself as to the condition of the property. Buyer may request that the property be inspected, at Buyer's expense and by qualified professionals, to determine the condition of the structure or its components.

BUYER ______________________________ **DATE** ____________

BUYER ______________________________ **DATE** ____________

BUYER ______________________________ **DATE** ____________

WIRE FRAUD NOTICE

WFN

This form recommended and approved for, but not restricted to use by, the members of the Pennsylvania Association of Realtors® (PAR).

Scammers are hacking the email accounts of title companies, real estate agents, settlement attorneys and others resulting in fraudulent wire instructions being used to divert funds to the account of the hacker. This behavior can be common in real estate transactions because sensitive data such as social security numbers, bank account numbers and wiring instructions are often sent by unsecured email for transactions involving large amounts of money. **DO NOT** provide personal information such as social security numbers, bank account numbers and credit card numbers except through secured email or personal delivery to the intended recipient.

If you receive an email with wiring instructions or an email changing the wiring instructions:

1. **DO NOT wire any funds without personally speaking with the intended recipient of the wire, even if the email appears to be from someone you know.** Confirm the instructions, routing number and account number.

2. **Call a verified phone number, not the phone number provided in the email!** The emails include information intended to look legitimate and may appear to be from a familiar name or email address and may even contain a company logo and other symbols meant to gain your trust.

3. **If you believe you have received questionable or suspicious wire transfer instructions, immediately notify your bank, the escrow agent, and your real estate professional.** Once money has been wired it is almost always unrecoverable. Banks are not responsible for funds that are voluntarily wired to a fraudulent account. If you suspect that you have been victimized by wire fraud, contact the local office of the Federal Bureau of Investigations or file a complaint with the Internet Crime Complaint Center at www.ic3.gov.

CONSUMER ______________________ **DATE** ______________

PRINTED NAME ______________________________

CONSUMER ______________________ **DATE** ______________

PRINTED NAME ______________________________

CONSUMER ______________________ **DATE** ______________

PRINTED NAME ______________________________

BROKER (COMPANY) ______________________________

LICENSEE ______________________ **DATE** ______________